

## Singapore Banks

### NIMs not looking good; the PE/PB vs. DY debate; d/g DBS to N

We expect 12bps y/y sector NIM compression this year, and another 10bps in 2026. This is a function of 77/238/19bps declines in 3M SORA, Hibor and SOFR in last 6M. USD weakness is accelerating lower rates in SG/HK. Our FX team forecasts USD weakness to persist ([link](#)), which, along with Fed cuts (delayed, but not derailed, [link](#)), should lead to consistent pressure on NIM. The offsets from B/S gr, CoF, fee and expenses are not enough to limit PPOP downside. Further, provisions are normalizing, to a point. Hence, sector EPS CAGR for 2025-28E should be low (~1%). DPS should hold as banks have excess capital and are still generating more. This EPS/DPS conundrum is showing in evolution of the dominant multiple for trading the sector, in favour of PE vs. EPSg, PB vs. RoA/RoE, and away from DY. Said another way, stocks will trade at higher DY vs last 12M lows, and we should see a larger dispersion in DY spread across stocks. We reduce PTs by 4-8% for DBS to S\$47 and UOB to S\$37. This suggests rather limited upside for DBS in the near term, hence we d/g the stock to N. UOB stays N and OCBC is Not Rated.

- **Revisions:** CASA ratio should improve in an easing environment, and banks have a degree of hedges in place, but not enough to fully offset the impact of lower rates. At the PPOP level, fees are doing well, led by WM and treasury flows. These revenue lines should hold over the next couple of years, but 1Q25 base is high and q/q numbers should come off despite recent market volatility. Flex on costs exists, but only to a degree. Finally, the AQ outlook is unclear, with trade flows and GDPg forecasts in flux. Hence, bias of risk is towards higher provisions. All these have led us to reduce '26-'27 forecasts by 5-7%, bringing the numbers 2-4% below Street.
- **NIM:** We have broken down the NIM impact by currency (SGD, USD, HKD) to understand the impact on a quarterly basis. The impact of over 200bps decline in Hibor 3M MTD will show up in 2Q/3Q numbers, and will be a source of negative surprise for DBS and OCBC, owing to their retail presence in HK. Over time, CoF will come off as well, leading to partial offset. We forecast 4-6bps q/q NIM compression in 2Q, and a further 3-4bps in 3Q. UOB should be a net beneficiary of lower Hibor 3-4 quarters out, as the bank is wholesale funded in HK. The weaker USD impact on SGD rates is showing up in 77bps YTD decline in 3M SORA to 2.30%, with 1Y OIS at 1.84% suggesting further weakness is likely. This is a key source of NIM-led negative revisions.
- **Capital:** Banks have excess capital, with CET1 at 15.2-15.5% (Basel IV), assuming a 'line-in-sand' at 13-14%. DBS has the most definitive capital return policy with management almost confirming 6c DPS increase in 4Q24, and possibly further 6c in 4Q25. This is complemented by 60c of special/year in 2025-27, as well as buybacks (we pencil in S\$1.5bn/year). Even after factoring these in, the stock appears to be trading close to fair, unless DY (or CoE) compresses sharply. We expect UOB and OCBC to stay at slightly higher CET1 vs. DBS over time. We have tried to back-calculate implied CoE on 2-stage DDM to figure best way of evaluating the fair values for the sector. A definitive conclusion remains elusive, with AQ the key driver of risk to multiples.

#### APAC Banks

##### Harsh Wardhan Modi <sup>AC</sup>

(65) 6882-2450

harsh.w.modi@jpmorgan.com

J.P. Morgan Securities Singapore Private Limited/  
J.P. Morgan Securities (Asia Pacific) Limited/ J.P.  
Morgan Broking (Hong Kong) Limited

##### Daniel Andrew Tan, CFA

(63-2) 8554-2413

danielandrew.o.tan@jpmorgan.com

J.P. Morgan Securities Philippines, Inc.

##### Gaurav Khandelwal, CFA

(66-2) 684-2010

gaurav.khandelwal@jpmorgan.com

JPMorgan Securities (Thailand) Limited

##### Shivansh Puri

(91-22) 6157-5077

shivansh.puri@jpmchase.com

J.P. Morgan India Private Limited, J.P. Morgan  
Tower, Santacruz(E), Mumbai - 400098, SEBI  
Registration: INH000001873, (91-22) 6157-3000.

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**See page 32 for analyst certification and important disclosures, including non-US analyst disclosures.**

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Equity Ratings and Price Targets

| Company                    | Ticker  | Mkt Cap<br>(\$ mn) | Price<br>CCY | Price | Rating |      | Price Target |          |       |          |
|----------------------------|---------|--------------------|--------------|-------|--------|------|--------------|----------|-------|----------|
|                            |         |                    |              |       | Cur    | Prev | Cur          | End Date | Prev  | End Date |
| DBS Group Holdings         | DBS SP  | 97,507             | SGD          | 44.38 | N      | OW   | 47.00        | Jun-26   | 49.00 | Dec-25   |
| OCBC Bank                  | OCBC SP | 56,326             | SGD          | 16.21 | NR     |      | —            | —        | —     | n/c      |
| United Overseas Bank (UOB) | UOB SP  | 45,774             | SGD          | 35.40 | N      | n/c  | 37.00        | Jun-26   | 40.00 | Dec-25   |

Source: Company data, Bloomberg Finance L.P., J.P. Morgan estimates. n/c = no change. All prices as of 20 May 25.

## NIM compression challenges the outlook

We expect 12bps y/y sector NIM compression this year, and another 10bps in 2026. This is a function of 77/238/19bps declines in 3M SORA, Hibor and SOFR in last 6M. USD weakness is accelerating lower rates in SG/HK. Our FX team forecasts USD weakness to persist ([link](#)), which, along with Fed cuts (delayed, but not derailed, [link](#)) over next 12M should lead to consistent pressure on NIM. The offsets from B/S gr, CoF, fee and expenses are not enough to limit PPop downside. Further, provisions are normalizing, to a point. Hence, sector EPS CAGR for 2025-28E should be low (~1%). DPS should hold as banks have excess capital and are still generating more. This EPS/DPS conundrum is showing in the evolution of the dominant multiple for trading the sector, in favour of PE vs. EPSg, PB vs. RoA/RoE, and away from DY. Said another way, stocks will trade at higher DY vs last 12M lows, and we should see a larger dispersion in DY spread across stocks. Post revisions, we are reducing PTs by 4-8% for DBS to S\$47 and UOB to S\$37. This suggests rather limited upside for DBS in the near-term, hence we d/g the stock to N. UOB stays N and OCBC is Not Rated.

Downgrading DBS to Neutral and reducing PTs for DBS/UOB

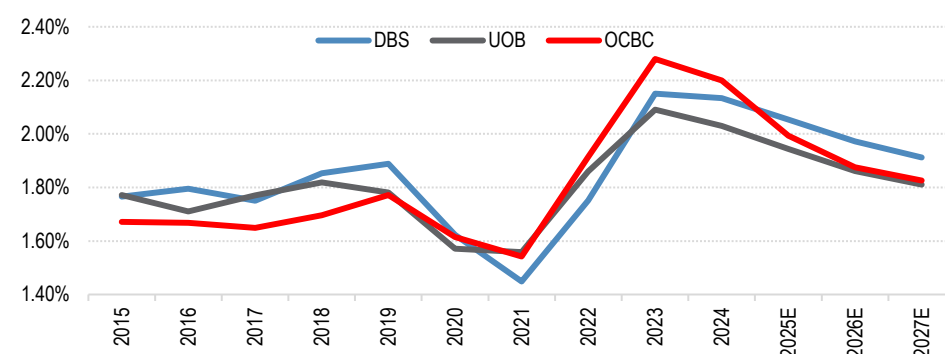
Table 1: Singapore Banks: PT and rating changes

| Bank | Old rating | New rating | Old PT (\$) | New PT (\$) | Change in PT |
|------|------------|------------|-------------|-------------|--------------|
| DBS  | OW         | N          | 49.0        | 47.0        | -4%          |
| OCBC | NR         | NR         | NA          | NA          | n.a          |
| UOB  | N          | N          | 40.0        | 37.0        | -8%          |

Source: J.P. Morgan estimates.

Expecting NIM compression over next 3Y as rates come off

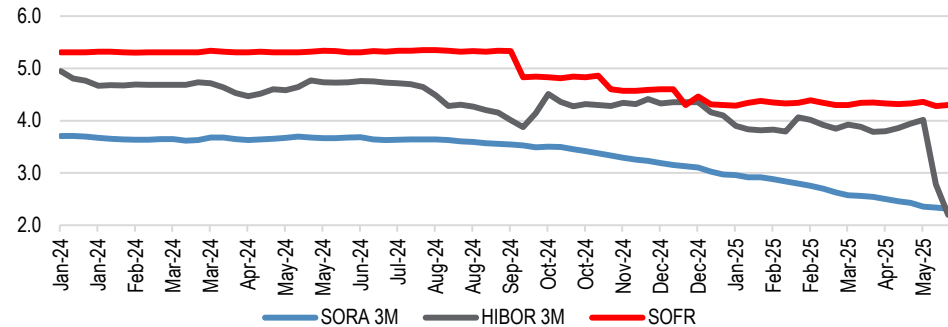
Figure 1: Singapore Banks: NIM trend and outlook



Source: Company reports and J.P. Morgan estimates.

Rate shifts across currencies drive risks to margins

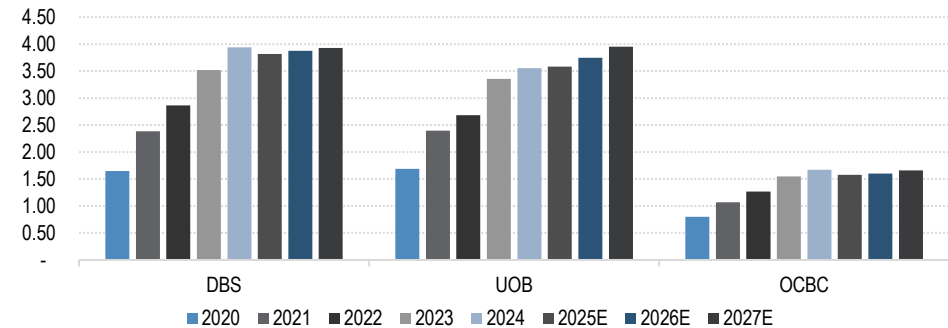
Figure 2: Key rate movements across USD, SGD, and HKD



Source: Bloomberg Finance L.P.

We expect EPS to taper off after improvements over the last few years, as rates stabilize following the post-pandemic recovery and rising rate environment.

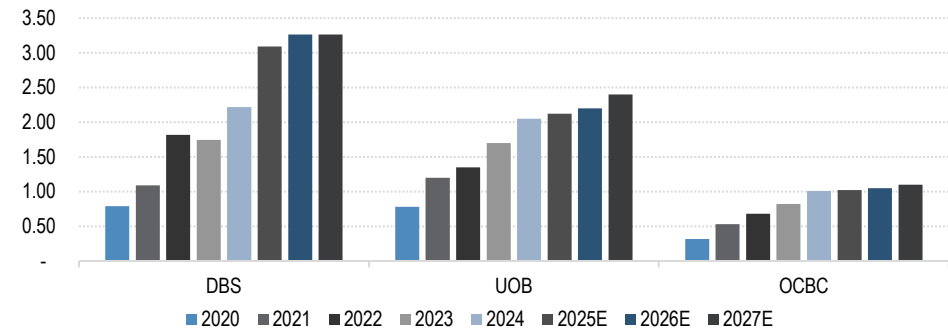
Figure 3: Singapore Banks: EPS trend (\$\$)



Source: Company reports and J.P. Morgan estimates.

DPS can hold or even improve, with the current capital generation/RWAg dynamic

Figure 4: Singapore Banks: DPS trend (\$\$)



Source: Company reports and J.P. Morgan estimates.

## Expecting downward revisions across the sector

CASA ratio should improve in an easing environment, and banks have a degree of hedges in place, but not enough to fully offset the NIM compression from lower rates. At the PPOP level, fees are doing well, led by WM and treasury flows. These revenue lines should hold over the next couple of years, but 1Q25 base is high and q/q numbers should come off despite liberation day induced volatility. Flex on costs exists, but only to a degree. Finally, the AQ outlook is unclear, with trade flows and GDPg forecasts in flux. Hence, bias of risk is towards higher provisions this and next year. All these have led us to reduce '26-'27 forecasts by 5-7%, bringing the numbers 2-4% below Street.

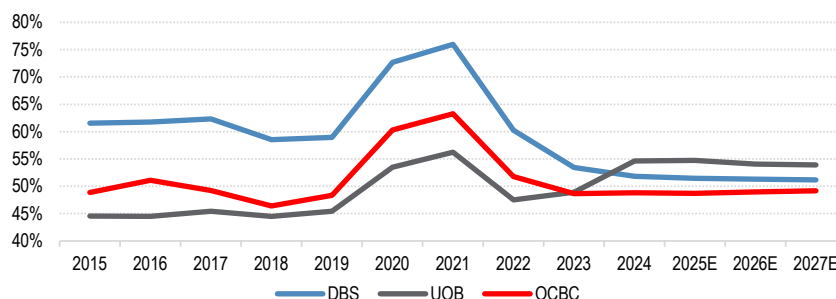
Table 2: Singapore Banks: EPS revisions

| EPS            | EPSg y/y   |           |           | JPM vs Street |            |            | JPM revisions |            |            |
|----------------|------------|-----------|-----------|---------------|------------|------------|---------------|------------|------------|
|                | 2025E      | 2026E     | 2027E     | 2025E         | 2026E      | 2027E      | 2025E         | 2026E      | 2027E      |
| DBS            | -3%        | 1%        | 1%        | -1%           | -2%        | -5%        | -2%           | -3%        | -5%        |
| OCBC           | -6%        | 2%        | 4%        | -2%           | -3%        | -4%        | -4%           | -6%        | -7%        |
| UOB            | 1%         | 4%        | 6%        | 0%            | -1%        | -3%        | -5%           | -6%        | -9%        |
| <b>Average</b> | <b>-3%</b> | <b>2%</b> | <b>4%</b> | <b>-1%</b>    | <b>-2%</b> | <b>-4%</b> | <b>-4%</b>    | <b>-5%</b> | <b>-7%</b> |

Source: J.P. Morgan estimates, Bloomberg Finance L.P.

Expecting modest improvements in CASA ratio

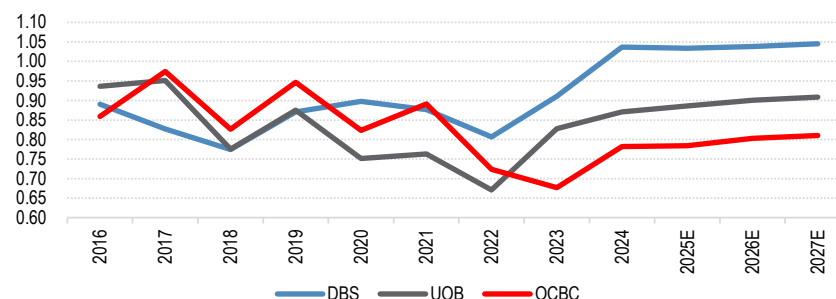
Figure 5: Singapore Banks: CASA ratio



Source: Company reports and J.P. Morgan estimates.

Non-II remains robust, with WM and treasury driving strength

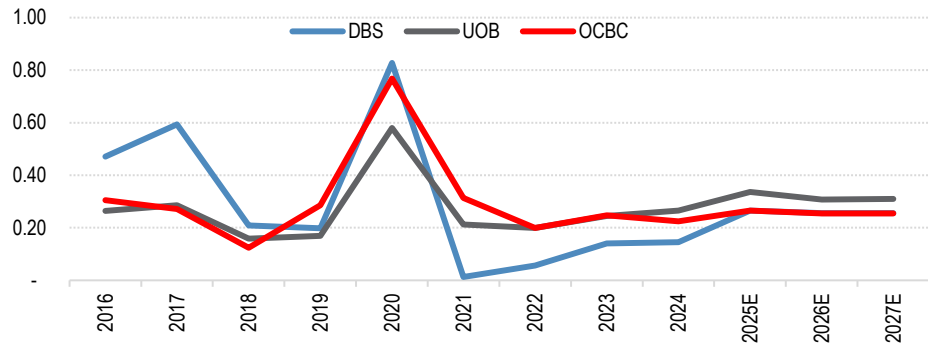
Figure 6: Singapore Banks: Non-II/Assets (%)



Source: Company reports and J.P. Morgan estimates.

We expect credit costs to move up, as banks increase buffers in an uncertain environment.

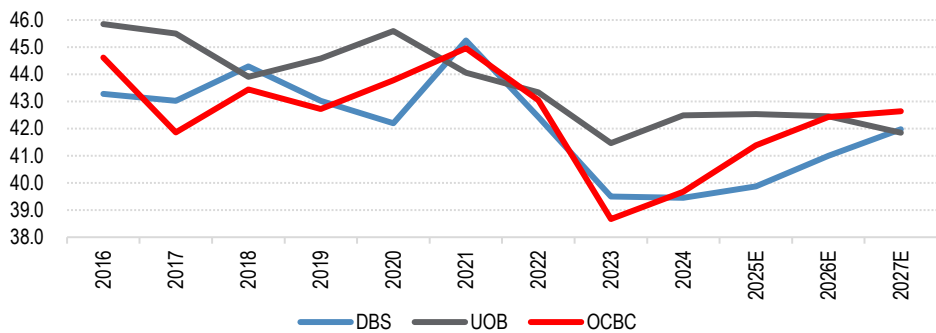
Figure 7: Singapore Banks: Credit costs (%)



Source: Company reports and J.P. Morgan estimates.

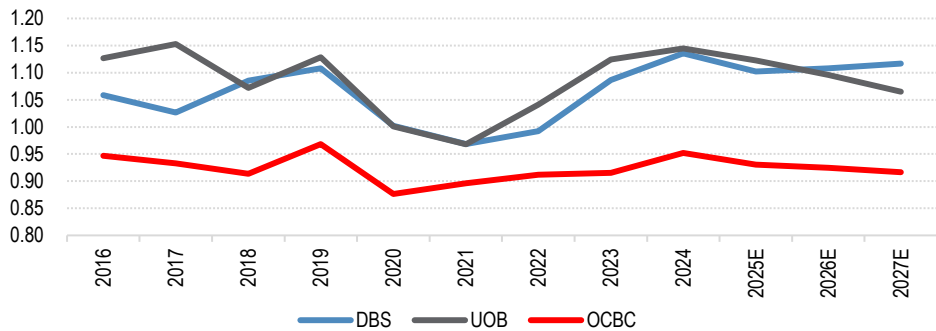
We expect banks to manage costs to a degree, helping offset the weaker revenues

Figure 8: Singapore Banks: Cost to Income ratio (%)



Source: Company reports and J.P. Morgan estimates.

Figure 9: Singapore Banks: Cost to Assets ratio (%)



Source: Company reports and J.P. Morgan estimates.

## Drivers of NIM weakness

We have broken down the NIM impact for the three banks by currency (SGD, USD and HKD), to understand the impact on a quarterly basis. The impact of over 200bps decline in Hibor 3M over MTD will show up in 2Q/3Q numbers, and will be a source of negative surprise for DBS and OCBC owing to their retail presence in HK. Over time, CoF will come off as well, leading to partial offset. We forecast 4-6bps q/q NIM compression in 2Q, and a further 3-4bps in 3Q. UOB should be a net beneficiary of lower Hibor 3-4 quarters out, as the bank is wholesale funded in HK. The weaker USD impact on SGD rates is showing up in 77bps YTD decline in 3M SORA to 2.30%, with 1Y OIS at 1.84% suggesting further weakness is likely. This is a key source of NIM-led negative revisions.

Table 3: NIM impact and trend by currency

|                       | 1Q25   | 2Q25E         | 3Q25E         | 4Q25E         |
|-----------------------|--------|---------------|---------------|---------------|
| SORA 3M               | 2.8%   | 2.4%          | 2.1%          | 2.0%          |
| Decline               |        | -0.4%         | -0.3%         | -0.1%         |
| Share of loan book    | 40.0%  |               |               |               |
| Passthrough           | 50-60% |               |               |               |
| AY/NIM impact         |        | -0.09%        | -0.07%        | -0.02%        |
| HIBOR 3M              | 3.9%   | 2.7%          | 2.0%          | 2.0%          |
| Decline               |        | -1.2%         | -0.7%         | 0.0%          |
| Share of loan book    | 10.0%  |               |               |               |
| Passthrough           | 70.0%  |               |               |               |
| AY/NIM impact         |        | -0.08%        | -0.05%        | 0.00%         |
| SOFR                  | 4.3%   | 4.3%          | 4.3%          | 4.1%          |
|                       |        | 0.00%         | 0.00%         | -0.25%        |
| Share of loan book    | 20.0%  |               |               |               |
| Passthrough           | 70.0%  |               |               |               |
| AY/NIM impact         |        | 0.00%         | 0.00%         | -0.04%        |
| Total AY impact       |        | -0.17%        | -0.12%        | -0.06%        |
| <b>CoF offset</b>     |        |               |               |               |
| Share of deposits     | 50%    |               |               |               |
| Decline               |        | 0.12%         | 0.08%         | 0.04%         |
| <b>Net NIM impact</b> |        | <b>-0.05%</b> | <b>-0.04%</b> | <b>-0.02%</b> |

Source: J.P. Morgan estimates.

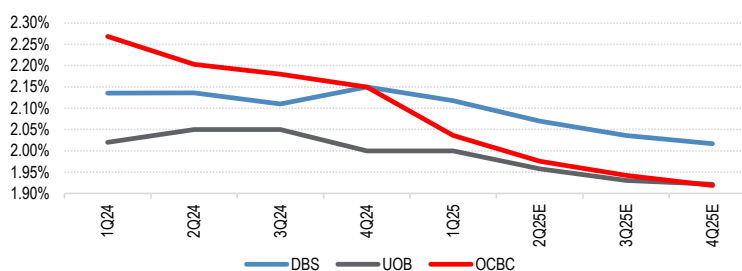
The near-term impact of HIBOR is likely negative, with potential recovery in 2H as CoF improves. UOB has relatively better through the cycle impact vs. DBS/OCBC.

Table 4: Singapore Banks: HIBOR impact

| S\$ mn                                | DBS           | UOB          | OCBC          |
|---------------------------------------|---------------|--------------|---------------|
| <b>Assets re-pricing</b>              |               |              |               |
| Average loans                         | 429,418       | 329,491      | 307,910       |
| Average IEA                           | 676,148       | 476,735      | 443,419       |
| HK\$ loans                            | 45,403        |              | 35,208        |
| Total loans                           | 436,684       |              | 319,166       |
| HK\$ % of total                       | 10%           | 8%           | 11%           |
| HIBOR linked                          | 70%           | 70%          | 70%           |
| NIM impact of 200bps decline in HIBOR | -0.09%        | -0.08%       | -0.11%        |
| <b>Liabilities re-pricing</b>         |               |              |               |
| Average deposits                      | 548,417       | 394,724      | 377,229       |
| Average IBL                           | 604,787       | 434,135      | 414,257       |
| HK\$ deposits                         | 33,464        |              | 37,331        |
| Total deposits                        | 561,730       |              | 390,687       |
| HK\$ % of total                       | 6%            | 8%           | 10%           |
| HK\$ CASA                             | 15,566        |              |               |
| HK\$ CASA ratio                       | 47%           |              |               |
| HK\$ TD                               | 53%           | 75%          | 60%           |
| NIM impact of 200bps decline in HIBOR | 0.06%         | 0.10%        | 0.10%         |
| <b>Net impact</b>                     | <b>-0.04%</b> | <b>0.02%</b> | <b>-0.01%</b> |

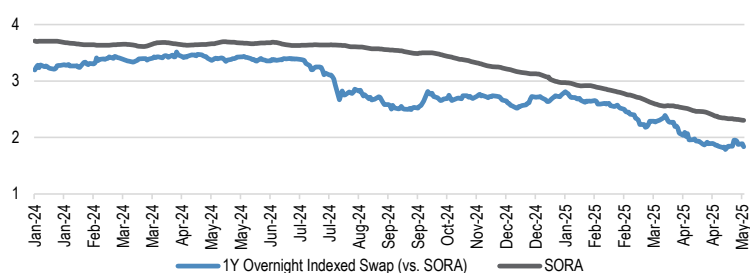
Source: J.P. Morgan estimates.

Figure 10: Singapore Banks: Quarterly NIM



Source: Company reports and J.P. Morgan estimates.

Figure 11: Singapore: 1Y Overnight Indexed Swap trend



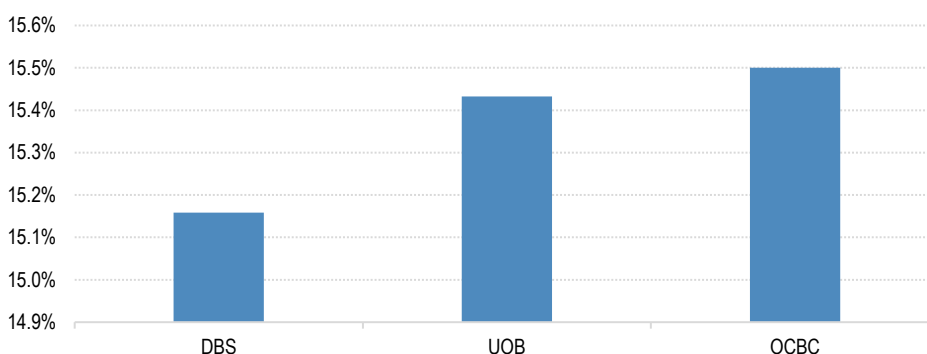
Source: Bloomberg Finance L.P.



## Excess capital supports sustained dividends and buybacks

The three banks have excess capital, with CET1 at 15.2-15.5% (fully phased-in), assuming a 'line-in-sand' at 13-14%. DBS has the most definitive capital return policy with management almost confirming a 6c increase in quarterly regular DPS in 4Q24, and possibly a further 6c in 4Q25. This is complemented by 60c of special/year in 2025-27, as well as buybacks (we pencil in S\$1.5bn/year). Even after factoring these in, the stock appears to be trading at close to fair valuations, unless DY (or CoE) compresses meaningfully. We expect UOB and OCBC to stay at slightly higher CET1 vs. DBS over time. We have tried to back-calculate implied CoE on 2-stage DDM to figure the best way of evaluating the fair values for the sector. A definitive conclusion remains elusive, with AQ the key driver of risk to multiples.

Figure 12: Singapore Banks: Fully phased in CET1 ratio



Source: Company reports.

Table 5: Singapore Banks: Total yields

| SG Banks yields         | DBS         |             |             | OCBC        |             |             | UOB         |             |             |
|-------------------------|-------------|-------------|-------------|-------------|-------------|-------------|-------------|-------------|-------------|
|                         | 2025E       | 2026E       | 2027E       | 2025E       | 2026E       | 2027E       | 2025E       | 2026E       | 2027E       |
| Regular DPS             | 2.46        | 2.70        | 2.88        | 0.83        | 0.86        | 0.89        | 1.80        | 2.20        | 2.40        |
| Special DPS             | 0.60        | 0.60        | 0.60        | 0.19        | 0.19        | 0.21        | 0.25        | 0.25        | 0.25        |
| Total DPS               | 3.06        | 3.30        | 3.48        | 1.02        | 1.05        | 1.10        | 2.05        | 2.45        | 2.65        |
| <b>Yield</b>            |             |             |             |             |             |             |             |             |             |
| Regular                 | 5.5%        | 6.1%        | 6.5%        | 5.1%        | 5.3%        | 5.5%        | 5.1%        | 6.2%        | 6.8%        |
| Special                 | 1.4%        | 1.4%        | 1.4%        | 1.2%        | 1.2%        | 1.3%        | 0.7%        | 0.7%        | 0.7%        |
| Total                   | 6.9%        | 7.4%        | 7.8%        | 6.3%        | 6.5%        | 6.8%        | 5.8%        | 6.9%        | 7.5%        |
| Total buyback (\$\$ mn) | 1,500       | 1,500       | 1,500       | 1,000       | 1,000       | 1,000       | 750         | 750         | 750         |
| Buyback amt. per share  | 0.53        | 0.54        | 0.55        | 0.23        | 0.23        | 0.23        | 0.45        | 0.46        | 0.46        |
| Yield on buyback        | 1.2%        | 1.2%        | 1.2%        | 1.4%        | 1.4%        | 1.4%        | 1.3%        | 1.3%        | 1.3%        |
| <b>Total yields</b>     | <b>8.1%</b> | <b>8.7%</b> | <b>9.1%</b> | <b>7.7%</b> | <b>7.9%</b> | <b>8.2%</b> | <b>7.1%</b> | <b>8.2%</b> | <b>8.8%</b> |

Source: J.P. Morgan estimates.

We assess the banks' capacity to generate and return capital, with details in the tables below.

Table 6: DBS: CET1 impact from buybacks

| S\$ mn                             | 2024    | 2025E   | 2026E   | 2027E   | 2028E   | 2029E   | 2030E   |
|------------------------------------|---------|---------|---------|---------|---------|---------|---------|
| <b>Stock of capital</b>            |         |         |         |         |         |         |         |
| RWA                                | 396,167 | 415,817 | 421,964 | 438,275 | 451,423 | 464,965 | 478,914 |
| RWA growth                         |         | 5.0%    | 1.5%    | 3.9%    | 3.0%    | 3.0%    | 3.0%    |
| Fully phased-in CET1               | 59,993  | 61,758  | 62,049  | 61,878  | 61,308  | 61,164  | 63,039  |
| CET1 ratio                         | 15.1%   | 14.9%   | 14.7%   | 14.1%   | 13.6%   | 13.2%   | 13.2%   |
| CET1 limit                         | 13.0%   | 13.0%   | 13.0%   | 13.0%   | 13.0%   | 13.0%   | 13.0%   |
| Excess capital                     | 8,491   | 7,702   | 7,193   | 4,903   | 2,623   | 719     | 780     |
| <b>Flow of capital</b>             |         |         |         |         |         |         |         |
| ROA                                | 1.43%   | 1.27%   | 1.22%   | 1.18%   | 1.10%   | 1.10%   | 1.10%   |
| Net income                         |         | 10,771  | 10,747  | 10,763  | 10,344  | 10,654  | 10,974  |
| DPS                                |         |         |         |         |         |         |         |
| Regular                            |         | 2.46    | 2.70    | 2.88    | 2.88    | 2.88    | 2.88    |
| Special                            |         | 0.60    | 0.60    | 0.60    | 0.60    | 0.60    | -       |
| Total DPS                          |         | 3.06    | 3.30    | 3.48    | 3.48    | 3.48    | 2.88    |
| Share count (mn)                   | 2,840   | 2,805   | 2,772   | 2,738   | 2,705   | 2,672   | 2,638   |
| Dividends (S\$ mn)                 |         | 8,584   | 9,147   | 9,530   | 9,414   | 9,298   | 7,599   |
| Buyback spent (S\$ mn)             |         | 1,500   | 1,500   | 1,500   | 1,500   | 1,500   | 1,500   |
| Buyback price (S\$)                |         | 43      | 45      | 45      | 45      | 45      | 45      |
| Buyback shares (mn)                |         | 35      | 33      | 33      | 33      | 33      | 33      |
| <b>Payout ratio</b>                |         |         |         |         |         |         |         |
| Regular payout                     |         | 64%     | 70%     | 73%     | 75%     | 72%     | 69%     |
| Regular + special payout           |         | 80%     | 85%     | 89%     | 91%     | 87%     | 69%     |
| Regular + special + buyback payout |         | 94%     | 99%     | 102%    | 106%    | 101%    | 83%     |
| Capital impact (absolute level)    |         | 687     | 100     | (267)   | (570)   | (144)   | 1,875   |
| CET1 impact (adjsuted for RWAg)    |         | (1,867) | (699)   | (2,387) | (2,279) | (1,904) | 61      |

Source: Company reports and J.P. Morgan estimates.

Table 7: OCBC: CET1 impact from buybacks

| S\$ mn                             | 2024    | 2025E   | 2026E   | 2027E   | 2028E   | 2029E   | 2030E   |
|------------------------------------|---------|---------|---------|---------|---------|---------|---------|
| <b>Stock of capital</b>            |         |         |         |         |         |         |         |
| RWA                                | 263,712 | 289,532 | 309,905 | 314,100 | 323,523 | 333,229 | 343,226 |
| RWA growth                         |         | 9.8%    | 7.0%    | 1.4%    | 3.0%    | 3.0%    | 3.0%    |
| Fully phased-in CET1               | 40,388  | 41,813  | 43,640  | 43,164  | 44,552  | 46,216  | 48,165  |
| CET1 ratio                         | 15.3%   | 14.4%   | 14.1%   | 13.7%   | 13.8%   | 13.9%   | 14.0%   |
| CET1 limit                         | 14.0%   | 14.0%   | 14.0%   | 14.0%   | 14.0%   | 14.0%   | 14.0%   |
| Excess capital                     | 3,468   | 1,279   | 253     | (810)   | (742)   | (436)   | 113     |
| <b>Flow of capital</b>             |         |         |         |         |         |         |         |
| ROA                                | 1.26%   | 1.11%   | 1.07%   | 1.06%   | 1.00%   | 1.00%   | 1.00%   |
| Net income                         |         | 7,128   | 7,141   | 7,306   | 7,079   | 7,291   | 7,510   |
| DPS (\$\$)                         |         |         |         |         |         |         |         |
| Regular                            |         | 0.83    | 0.86    | 0.89    | 1.10    | 1.10    | 1.10    |
| Special                            |         | 0.19    | 0.19    | 0.21    | -       | -       | -       |
| Total DPS                          |         | 1.02    | 1.05    | 1.10    | 1.10    | 1.10    | 1.10    |
| Share count (mn)                   | 4,500   | 4,441   | 4,382   | 4,324   | 4,265   | 4,206   | 4,147   |
| Dividends (\$\$ mn)                |         | 4,530   | 4,601   | 4,756   | 4,691   | 4,626   | 4,562   |
| Buyback spent (\$\$ mn)            |         | 1,000   | 1,000   | 1,000   | 1,000   | 1,000   | 1,000   |
| Buyback price (\$\$)               |         | 17      | 17      | 17      | 17      | 17      | 17      |
| Buyback shares (mn)                |         | 59      | 59      | 59      | 59      | 59      | 59      |
| <b>Payout ratio</b>                |         |         |         |         |         |         |         |
| Regular payout                     |         | 53%     | 54%     | 54%     | 66%     | 63%     | 61%     |
| Regular + Special payout           |         | 65%     | 66%     | 66%     | 66%     | 63%     | 61%     |
| Regular + Special + buyback payout |         | 78%     | 78%     | 79%     | 80%     | 77%     | 74%     |
| Capital impact (absolute level)    |         | 1,598   | 1,539   | 1,550   | 1,388   | 1,665   | 1,948   |
| CET1 impact (adjsuted for RWAg)    |         | (2,017) | (1,313) | 963     | 69      | 306     | 549     |

Source: Company reports and J.P. Morgan estimates.

Table 8: UOB: CET1 impact from buybacks

| S\$ mn                                       | 2024    | 2025E   | 2026E   | 2027E   | 2028E   | 2029E   | 2030E   |
|----------------------------------------------|---------|---------|---------|---------|---------|---------|---------|
| <b>Stock of capital</b>                      |         |         |         |         |         |         |         |
| RWA                                          | 261,785 | 282,305 | 293,017 | 289,837 | 298,532 | 307,488 | 316,713 |
| RWA growth                                   |         | 7.8%    | 3.8%    | -1.1%   | 3.0%    | 3.0%    | 3.0%    |
| Fully phased-in CET1                         | 40,275  | 41,813  | 43,110  | 42,405  | 43,368  | 44,587  | 46,068  |
| CET1 ratio                                   | 15.4%   | 14.8%   | 14.7%   | 14.6%   | 14.5%   | 14.5%   | 14.5%   |
| CET1 limit                                   | 14.0%   | 14.0%   | 14.0%   | 14.0%   | 14.0%   | 14.0%   | 14.0%   |
| Excess capital                               | 3,625   | 2,290   | 2,088   | 1,828   | 1,573   | 1,539   | 1,728   |
| <b>Flow of capital</b>                       |         |         |         |         |         |         |         |
| ROA                                          | 1.12%   | 1.09%   | 1.08%   | 1.07%   | 1.00%   | 1.00%   | 1.00%   |
| Net income                                   |         | 6,052   | 6,243   | 6,506   | 6,160   | 6,344   | 6,535   |
| DPS (S\$)                                    |         |         |         |         |         |         |         |
| Regular                                      |         | 1.80    | 2.20    | 2.40    | 2.40    | 2.40    | 2.40    |
| Special                                      |         | 0.25    | 0.25    | 0.25    | 0.25    | 0.25    | 0.25    |
| Total DPS                                    |         | 2.05    | 2.45    | 2.65    | 2.65    | 2.65    | 2.65    |
| Share count (mn)                             | 1,672   | 1,651   | 1,631   | 1,611   | 1,584   | 1,557   | 1,530   |
| Dividends (S\$ mn)                           |         | 3,385   | 3,996   | 4,268   | 4,197   | 4,125   | 4,054   |
| Buyback spent (S\$ mn)                       |         | 750     | 750     | 750     | 1,000   | 1,000   | 1,000   |
| Buyback price (S\$)                          |         | 37      | 37      | 37      | 37      | 37      | 37      |
| Buyback shares (mn)                          |         | 20      | 20      | 20      | 27      | 27      | 27      |
| <b>Payout ratio</b>                          |         |         |         |         |         |         |         |
| Regular payout                               |         | 50%     | 59%     | 61%     | 62%     | 59%     | 56%     |
| Regular + Special payout                     |         | 57%     | 65%     | 67%     | 68%     | 65%     | 62%     |
| Regular + Special + buyback payout           |         | 68%     | 76%     | 77%     | 84%     | 81%     | 77%     |
| Capital impact (absolute level)              |         | 1,917   | 1,497   | 1,488   | 963     | 1,219   | 1,481   |
| CET1 impact (adjsuted for RWA <sub>g</sub> ) |         | (956)   | (2)     | 1,933   | (255)   | (35)    | 190     |

Source: Company reports and J.P. Morgan estimates.

Based on our dividend assumptions and DDM model, our calculations suggest a current implied COE of 9-9.5%, which appears close to fair.

Table 9: Singapore Banks: DDM estimates

|                | 2024  | 2025E | 2026E | 2027E | 2028E | 2029E | 2030E |
|----------------|-------|-------|-------|-------|-------|-------|-------|
| Assumed growth | 3%    |       |       |       |       |       |       |
| <b>DBS</b>     |       |       |       |       |       |       |       |
| DPS            |       | 3.06  | 3.30  | 3.48  | 3.48  | 3.48  | 2.88  |
| Terminal value |       |       |       |       |       |       | 49.66 |
| Current price  | 44.38 |       |       |       |       |       |       |
| Implied COE    | 9.0%  |       |       |       |       |       |       |
| <b>UOB</b>     |       |       |       |       |       |       |       |
| DPS            |       | 2.05  | 2.45  | 2.65  | 2.65  | 2.65  | 2.65  |
| Terminal value |       |       |       |       |       |       | 41.99 |
| Current price  | 34.4  |       |       |       |       |       |       |
| Implied COE    | 9.5%  |       |       |       |       |       |       |
| <b>OCBC</b>    |       |       |       |       |       |       |       |
| DPS            |       | 1.02  | 1.05  | 1.10  | 1.10  | 1.10  | 1.10  |
| Terminal value |       |       |       |       |       |       | 19.04 |
| Current price  | 16.21 |       |       |       |       |       |       |
| Implied COE    | 9.0%  |       |       |       |       |       |       |

Source: J.P. Morgan estimates, Company data.

## ▼ Neutral

Previous: Overweight

**DBSM.SI, DBS SP**

Price (20 May 25): S\$44.38

▼ **Price Target (Jun-26): S\$47.00**

Prior (Dec-25): S\$49.00

### APAC Banks

**Harsh Wardhan Modi <sup>AC</sup>**

(65) 6882-2450

harsh.w.modi@jpmorgan.com

J.P. Morgan Securities Singapore Private Limited/

J.P. Morgan Securities (Asia Pacific) Limited/ J.P.

Morgan Broking (Hong Kong) Limited

### Quarterly Forecasts (FYE Dec)

| Adj. EPS (\$) | 2024A | 2025E | 2026E |
|---------------|-------|-------|-------|
| Q1            | 1.04  | 1.02A |       |
| Q2            | 0.98  | 0.99  |       |
| Q3            | 1.06  | 0.94  |       |
| Q4            | 0.89  | 0.87  |       |
| FY            | 3.97  | 3.81  | 3.85  |

### Style Exposure

| Quant Factors | Current | Hist %Rank (1=Top) |    |    |    |
|---------------|---------|--------------------|----|----|----|
|               | %Rank   | 6M                 | 1Y | 3Y | 5Y |
| Value         | 7       | 10                 | 13 | 13 | 13 |
| Growth        | 29      | 10                 | 47 | 32 | 91 |
| Momentum      | 47      | 10                 | 10 | 29 | 88 |
| Quality       | 13      | 1                  | 16 | 13 | 29 |
| Low Vol       | 51      | 16                 | 10 | 51 | 10 |
| ESGQ          | 88      | 24                 | 86 | 17 | 17 |

## DBS Group Holdings

### High-quality, but approaching fair multiples

The bank has built one of the best quality franchises in Asia in the last 15Y across liabilities, WM and treasury. This shows in 15-16% RoE in 2025-27, even with NIMs moderating closer to pre-Covid levels. Importantly, the cost/assets at DBS are higher than peers, but that is a source of competitive strength. As in, the bank generates higher revenues (led by fees and asset gathering), which funds higher expenses. This is a tough balancing act, which the bank has been able to inculcate over years. Accordingly, PPOP RoA at the bank should sustain at 1.4% levels even adjusting for sharply lower rates in SGD, HKD and USD.

On AQ, there has been a degree of stress test across the sector in the last 5Y, and banks have come off looking fairly well. The LLR/loans for DBS stands at 1.52%, vs. 1.25% in 2019. Credit costs have been low at 11bps in last 3Y, with NPLs at 1.1% as of Mar-25. Credit growth has been quite nuanced (4% CAGR since 2019), which shows up in a high degree of confidence on AQ. We were wary of HK CRE risk last year, but that seems to have reduced meaningfully now. Trade related risks exist, which is being partly provided for via GPs.

The bank is most proactive in capital management, which has led to re-rating and limited the downside to an extent. We expect the bank to increase regular DPS by 6c in 4Q25 and further 6c in 4Q26. In addition, the 60c of special dividends should continue till 2027, with the possibility of sustaining in 2028/29. We have also factored in buyback of S\$1.5bn/year till 2027. These measures provide a high degree of visibility on returns, as long as RWA growth, AQ and M&A do not lead the bank to allocate capital elsewhere. Yet, at some point, a combination of these three uses of capital will materialise. Depending on the nature of capital deployment, multiples will evolve.

We are effectively valuing the stock using regular dividends, with capital return as a time-bound upside. Even after factoring these positives in, we find it difficult to build scenarios where the stock can meaningfully re-rate, save for certain unique circumstances. Hence, the balance of probabilities suggests a range-bound stock price performance. Accordingly, we assign a Neutral rating to the stock.

Sources for: Style Exposure – J.P. Morgan Quantitative and Derivatives Strategy; all other tables are company data and J.P. Morgan estimates.

Table 10: DBS: Valuation

|                      | Core Net<br>(S\$ mn) | Core EPS<br>(S\$) | P/E<br>(x)                 | BVPS<br>(S\$) | P/B<br>(x) | Dividend<br>(S\$)       | Div Yld<br>(%)      | Core RoA<br>(%) | Core RoRWA<br>(%) | Core RoE<br>(%) |
|----------------------|----------------------|-------------------|----------------------------|---------------|------------|-------------------------|---------------------|-----------------|-------------------|-----------------|
| 2021                 | 6,801                | 2.41              | 18.4                       | 19.5          | 2.27       | 1.09                    | 2.5%                | 1.01%           | 2.02%             | 12.6%           |
| 2022                 | 8,193                | 2.89              | 15.3                       | 19.2          | 2.31       | 1.82                    | 4.1%                | 1.13%           | 2.35%             | 14.8%           |
| 2023                 | 10,286               | 3.63              | 12.2                       | 21.0          | 2.11       | 1.75                    | 3.9%                | 1.38%           | 2.85%             | 17.9%           |
| 2024                 | 11,408               | 4.01              | 11.1                       | 23.4          | 1.90       | 2.22                    | 5.0%                | 1.45%           | 3.14%             | 18.0%           |
| 2025E                | 10,871               | 3.86              | 11.5                       | 24.3          | 1.82       | 3.06                    | 6.9%                | 1.28%           | 2.96%             | 16.1%           |
| 2026E                | 10,847               | 3.89              | 11.4                       | 25.6          | 1.73       | 3.30                    | 7.4%                | 1.23%           | 2.80%             | 15.6%           |
| 2027E                | 10,863               | 3.95              | 11.2                       | 25.9          | 1.71       | 3.48                    | 7.8%                | 1.19%           | 2.67%             | 15.3%           |
|                      |                      |                   |                            |               |            |                         |                     |                 |                   |                 |
|                      | Price (S\$)          | 44.38             | Number of shares (mn)      |               |            | 2,837                   | Market Cap (S\$ mn) |                 |                   | 125,909         |
| Normalised RoE       |                      |                   | PB based Valuation         |               |            |                         | PE based Valuation  |                 |                   |                 |
| NIM (on avg. assets) | 1.67%                |                   | Risk-free rate             |               | 4.20%      | Fair PE                 |                     | 11.7x           |                   |                 |
| Non-IR/revenues      | 37.9%                |                   | Cost of capital            |               | 9.2%       | 12m Rolling EPS         |                     | S\$3.87         |                   |                 |
| Cost/income          | 41.2%                |                   | Long term growth           |               | 1.50%      | PE based Fair Value     |                     | S\$45.3         |                   |                 |
| Operating RoA        | 1.58%                |                   | Fair PB                    |               | 1.77x      | Implied Value of Growth |                     |                 |                   |                 |
| LLP/Loans            | -0.30%               |                   | PV of Terminal Value       |               | S\$40.1    | 12m Rolling EPS         |                     | S\$3.87         |                   |                 |
| Net RoAA             | 1.21%                |                   | PV of Dividends            |               | S\$2.9     | Capitalized Value (S\$) |                     | \$42.1          |                   |                 |
| Equity/Assets        | 8.0%                 |                   | PV of today's Fair Value   |               | S\$42.9    | Value of Growth (S\$)   |                     | \$2.3           |                   |                 |
| Normalised RoE       | 15.1%                |                   | PB based Jun-26 Fair Value |               | S\$46.9    | Attributable to Growth  |                     | 5.2%            |                   |                 |

Source: J.P. Morgan estimates, Bloomberg Finance L.P.

## Annual forecasts

Table 11: DBS: Annual P&L

| S\$ in mn                  | 2015          | 2016          | 2017          | 2018          | 2019          | 2020          | 2021          | 2022          | 2023          | 2024          | 2025E         | 2026E         | 2027E         |
|----------------------------|---------------|---------------|---------------|---------------|---------------|---------------|---------------|---------------|---------------|---------------|---------------|---------------|---------------|
| Interest Income            | 9,644         | 9,748         | 10,833        | 13,798        | 15,592        | 12,208        | 10,185        | 15,927        | 27,862        | 30,927        | 30,118        | 29,677        | 29,646        |
| Interest Expense           | (2,544)       | (2,443)       | (3,042)       | (4,843)       | (5,967)       | (3,132)       | (1,745)       | (4,986)       | (14,220)      | (16,503)      | (15,497)      | (15,045)      | (14,904)      |
| <b>Net Interest Income</b> | <b>7,100</b>  | <b>7,305</b>  | <b>7,791</b>  | <b>8,955</b>  | <b>9,625</b>  | <b>9,076</b>  | <b>8,440</b>  | <b>10,941</b> | <b>13,642</b> | <b>14,424</b> | <b>14,621</b> | <b>14,632</b> | <b>14,742</b> |
| <b>Non-Interest Income</b> | <b>3,687</b>  | <b>4,184</b>  | <b>4,133</b>  | <b>4,137</b>  | <b>4,919</b>  | <b>5,516</b>  | <b>5,857</b>  | <b>5,768</b>  | <b>6,752</b>  | <b>8,123</b>  | <b>8,733</b>  | <b>9,129</b>  | <b>9,542</b>  |
| Net Fee income             | 2,144         | 2,331         | 2,622         | 2,780         | 3,052         | 3,058         | 3,524         | 3,091         | 3,384         | 4,168         | 4,626         | 4,858         | 5,101         |
| Trading income             | 1,204         | 1,357         | 1,058         | 1,178         | 1,459         | 1,405         | 1,791         | 2,313         | 1,369         | 1,541         | 1,572         | 1,635         | 1,700         |
| Other operating income     | 339           | 496           | 453           | 179           | 408           | 1,053         | 542           | 364           | 1,999         | 2,414         | 2,535         | 2,636         | 2,742         |
| <b>Total Revenues</b>      | <b>10,787</b> | <b>11,489</b> | <b>11,924</b> | <b>13,092</b> | <b>14,544</b> | <b>14,592</b> | <b>14,297</b> | <b>16,709</b> | <b>20,394</b> | <b>22,547</b> | <b>23,354</b> | <b>23,760</b> | <b>24,284</b> |
| Costs                      | (4,900)       | (4,972)       | (5,130)       | (5,798)       | (6,258)       | (6,158)       | (6,469)       | (7,090)       | (8,056)       | (8,895)       | (9,311)       | (9,742)       | (10,194)      |
| <b>PPOP</b>                | <b>5,887</b>  | <b>6,517</b>  | <b>6,794</b>  | <b>7,294</b>  | <b>8,286</b>  | <b>8,434</b>  | <b>7,828</b>  | <b>9,619</b>  | <b>12,338</b> | <b>13,652</b> | <b>14,043</b> | <b>14,018</b> | <b>14,090</b> |
| Loan loss provisions       | (672)         | (1,395)       | (1,879)       | (708)         | (704)         | (3,063)       | (51)          | (234)         | (591)         | (623)         | (1,181)       | (1,189)       | (1,246)       |
| Other provisions           | (71)          | (39)          | (15)          | (2)           | 1             | (3)           | (1)           | (3)           | (8)           | (22)          | (11)          | (6)           | (3)           |
| Other income               | 14            | 0             | 0             | 0             | 0             | 0             | 0             | 0             | 0             | 0             | 0             | 0             | 0             |
| <b>Pre-Tax</b>             | <b>5,158</b>  | <b>5,083</b>  | <b>4,900</b>  | <b>6,584</b>  | <b>7,583</b>  | <b>5,368</b>  | <b>7,776</b>  | <b>9,382</b>  | <b>11,739</b> | <b>13,007</b> | <b>12,851</b> | <b>12,823</b> | <b>12,842</b> |
| Tax                        | (727)         | (723)         | (727)         | (974)         | (1,116)       | (612)         | (973)         | (1,188)       | (1,452)       | (1,598)       | (1,979)       | (1,975)       | (1,978)       |
| MI & EO                    | (113)         | (122)         | (133)         | (76)          | (38)          | (35)          | (2)           | (1)           | (1)           | (1)           | (1)           | (1)           | (1)           |
| <b>Core profit</b>         | <b>4,318</b>  | <b>4,238</b>  | <b>4,040</b>  | <b>5,534</b>  | <b>6,429</b>  | <b>4,721</b>  | <b>6,801</b>  | <b>8,193</b>  | <b>10,286</b> | <b>11,408</b> | <b>10,871</b> | <b>10,847</b> | <b>10,863</b> |
| <b>Attributable profit</b> | <b>4,454</b>  | <b>4,238</b>  | <b>4,371</b>  | <b>5,577</b>  | <b>6,391</b>  | <b>4,721</b>  | <b>6,801</b>  | <b>8,193</b>  | <b>10,062</b> | <b>11,289</b> | <b>10,771</b> | <b>10,747</b> | <b>10,763</b> |

Source: Company reports and J.P. Morgan estimates.

Table 12: DBS: Annual DuPont

|                            | 2015         | 2016         | 2017         | 2018         | 2019         | 2020         | 2021         | 2022         | 2023         | 2024         | 2025E        | 2026E        | 2027E        |
|----------------------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|
| <b>NIM (% of avg. IEA)</b> | <b>1.77%</b> | <b>1.80%</b> | <b>1.75%</b> | <b>1.85%</b> | <b>1.89%</b> | <b>1.62%</b> | <b>1.45%</b> | <b>1.75%</b> | <b>2.15%</b> | <b>2.13%</b> | <b>2.05%</b> | <b>1.97%</b> | <b>1.91%</b> |
| IEA/Assets                 | 89.5%        | 86.6%        | 89.1%        | 90.5%        | 90.2%        | 91.0%        | 87.2%        | 87.4%        | 85.6%        | 86.3%        | 84.3%        | 84.4%        | 84.5%        |
| Margins (% of avg. Assets) | 1.58%        | 1.56%        | 1.56%        | 1.68%        | 1.70%        | 1.48%        | 1.26%        | 1.53%        | 1.84%        | 1.84%        | 1.73%        | 1.66%        | 1.61%        |
| Non-IR contribution        | 34.2%        | 36.4%        | 34.7%        | 31.6%        | 33.8%        | 37.8%        | 41.0%        | 34.5%        | 33.1%        | 36.0%        | 37.4%        | 38.4%        | 39.3%        |
| Non-IR/Avg. Assets         | 0.82%        | 0.89%        | 0.83%        | 0.77%        | 0.87%        | 0.90%        | 0.88%        | 0.81%        | 0.91%        | 1.04%        | 1.03%        | 1.04%        | 1.05%        |
| <b>Revenue/Assets</b>      | <b>2.40%</b> | <b>2.45%</b> | <b>2.39%</b> | <b>2.45%</b> | <b>2.57%</b> | <b>2.37%</b> | <b>2.14%</b> | <b>2.34%</b> | <b>2.75%</b> | <b>2.88%</b> | <b>2.76%</b> | <b>2.70%</b> | <b>2.66%</b> |
| Cost/Income                | 45.4%        | 43.3%        | 43.0%        | 44.3%        | 43.0%        | 42.2%        | 45.2%        | 42.4%        | 39.5%        | 39.5%        | 39.9%        | 41.0%        | 42.0%        |
| C/Assets                   | 1.09%        | 1.06%        | 1.03%        | 1.09%        | 1.11%        | 1.00%        | 0.97%        | 0.99%        | 1.09%        | 1.14%        | 1.10%        | 1.11%        | 1.12%        |
| <b>Pre-Provision ROA</b>   | <b>1.31%</b> | <b>1.39%</b> | <b>1.36%</b> | <b>1.37%</b> | <b>1.47%</b> | <b>1.37%</b> | <b>1.17%</b> | <b>1.35%</b> | <b>1.66%</b> | <b>1.74%</b> | <b>1.66%</b> | <b>1.59%</b> | <b>1.54%</b> |
| LLP/Loans                  | -0.24%       | -0.47%       | -0.59%       | -0.21%       | -0.20%       | -0.83%       | -0.01%       | -0.06%       | -0.14%       | -0.15%       | -0.27%       | -0.26%       | -0.26%       |
| Loan/Assets                | 63.0%        | 63.0%        | 63.4%        | 63.4%        | 63.0%        | 60.2%        | 59.3%        | 58.4%        | 56.8%        | 54.8%        | 52.7%        | 52.9%        | 53.3%        |
| Other Income/Assets        | -0.01%       | -0.01%       | 0.00%        | 0.00%        | 0.00%        | 0.00%        | 0.00%        | 0.00%        | 0.00%        | 0.00%        | 0.00%        | 0.00%        | 0.00%        |
| Operating ROA              | 1.15%        | 1.08%        | 0.98%        | 1.23%        | 1.34%        | 0.87%        | 1.16%        | 1.31%        | 1.58%        | 1.66%        | 1.52%        | 1.46%        | 1.41%        |
| Pre-Tax ROA                | 1.15%        | 1.08%        | 0.98%        | 1.23%        | 1.34%        | 0.87%        | 1.16%        | 1.31%        | 1.58%        | 1.66%        | 1.52%        | 1.46%        | 1.41%        |
| Tax Rate                   | -14.1%       | -14.2%       | -14.8%       | -14.8%       | -14.7%       | -11.4%       | -12.5%       | -12.7%       | -12.4%       | -12.3%       | -15.4%       | -15.4%       | -15.4%       |
| Minorities & Outside Int.  | -0.03%       | -0.03%       | -0.03%       | -0.01%       | -0.01%       | -0.01%       | 0.00%        | 0.00%        | 0.00%        | 0.00%        | 0.00%        | 0.00%        | 0.00%        |
| <b>ROA</b>                 | <b>0.99%</b> | <b>0.89%</b> | <b>0.86%</b> | <b>1.03%</b> | <b>1.12%</b> | <b>0.75%</b> | <b>1.01%</b> | <b>1.13%</b> | <b>1.35%</b> | <b>1.43%</b> | <b>1.27%</b> | <b>1.22%</b> | <b>1.18%</b> |
| <b>RoRWA</b>               | <b>1.66%</b> | <b>1.52%</b> | <b>1.52%</b> | <b>1.90%</b> | <b>2.13%</b> | <b>1.47%</b> | <b>2.02%</b> | <b>2.35%</b> | <b>2.79%</b> | <b>3.11%</b> | <b>2.93%</b> | <b>2.78%</b> | <b>2.65%</b> |
| Equity/Assets              | 8.51%        | 8.77%        | 8.85%        | 8.60%        | 8.43%        | 8.15%        | 7.96%        | 7.67%        | 7.70%        | 8.05%        | 7.97%        | 7.93%        | 7.79%        |
| <b>ROE</b>                 | <b>11.6%</b> | <b>10.2%</b> | <b>9.7%</b>  | <b>12.0%</b> | <b>13.3%</b> | <b>9.2%</b>  | <b>12.6%</b> | <b>14.8%</b> | <b>17.5%</b> | <b>17.8%</b> | <b>15.9%</b> | <b>15.4%</b> | <b>15.1%</b> |

Source: Company reports and J.P. Morgan estimates.



## Quarterly forecasts

Table 13: DBS: Quarterly P&L

| S\$ in mn                  | 1Q23         | 2Q23         | 3Q23         | 4Q23         | 1Q24         | 2Q24         | 3Q24         | 4Q24         | 1Q25         | 2Q25E        | 3Q25E        | 4Q25E        |
|----------------------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|
| Interest Income            | 6,250        | 6,978        | 7,254        | 7,380        | 7,726        | 7,741        | 7,713        | 7,747        | 7,632        | 7,568        | 7,506        | 7,413        |
| Interest Expense           | (2,979)      | (3,545)      | (3,750)      | (3,946)      | (4,221)      | (4,147)      | (4,116)      | (4,019)      | (3,951)      | (3,920)      | (3,856)      | (3,770)      |
| <b>Net Interest Income</b> | <b>3,271</b> | <b>3,433</b> | <b>3,504</b> | <b>3,434</b> | <b>3,505</b> | <b>3,594</b> | <b>3,597</b> | <b>3,728</b> | <b>3,681</b> | <b>3,648</b> | <b>3,650</b> | <b>3,643</b> |
| <b>Non-Interest Income</b> | <b>1,728</b> | <b>1,654</b> | <b>1,750</b> | <b>1,620</b> | <b>2,103</b> | <b>1,951</b> | <b>2,222</b> | <b>1,847</b> | <b>2,301</b> | <b>2,289</b> | <b>2,136</b> | <b>2,007</b> |
| Net Fee income             | 851          | 823          | 843          | 867          | 1,043        | 1,048        | 1,109        | 968          | 1,275        | 1,211        | 1,114        | 1,026        |
| Trading income             | 382          | 325          | 346          | 316          | 388          | 362          | 530          | 261          | 401          | 421          | 379          | 371          |
| Other operating income     | 495          | 506          | 561          | 437          | 672          | 541          | 583          | 618          | 625          | 656          | 643          | 610          |
| <b>Total Revenues</b>      | <b>4,999</b> | <b>5,087</b> | <b>5,254</b> | <b>5,054</b> | <b>5,608</b> | <b>5,545</b> | <b>5,819</b> | <b>5,575</b> | <b>5,982</b> | <b>5,936</b> | <b>5,786</b> | <b>5,650</b> |
| Costs                      | (1,882)      | (1,931)      | (2,038)      | (2,205)      | (2,079)      | (2,172)      | (2,249)      | (2,395)      | (2,214)      | (2,313)      | (2,359)      | (2,425)      |
| <b>PPOP</b>                | <b>3,117</b> | <b>3,156</b> | <b>3,216</b> | <b>2,849</b> | <b>3,529</b> | <b>3,373</b> | <b>3,570</b> | <b>3,180</b> | <b>3,768</b> | <b>3,624</b> | <b>3,427</b> | <b>3,225</b> |
| Loan loss provisions       | (161)        | (60)         | (215)        | (155)        | (135)        | (128)        | (130)        | (230)        | (325)        | (291)        | (294)        | (272)        |
| Other provisions           | 0            | (12)         | 0            | 4            | 0            | (32)         | (6)          | 16           | (6)          | (3)          | (3)          | 1            |
| Other income               | 0            | 0            | 0            | 0            | 0            | 0            | 0            | 0            | 0            | 0            | 0            | 0            |
| <b>Pre-Tax</b>             | <b>2,956</b> | <b>3,084</b> | <b>3,001</b> | <b>2,698</b> | <b>3,394</b> | <b>3,213</b> | <b>3,434</b> | <b>2,966</b> | <b>3,437</b> | <b>3,330</b> | <b>3,130</b> | <b>2,954</b> |
| Tax                        | (379)        | (399)        | (373)        | (301)        | (432)        | (416)        | (414)        | (336)        | (531)        | (514)        | (483)        | (450)        |
| MI and EO                  | (6)          | 5            | 5            | (5)          | (6)          | 6            | 7            | (8)          | (9)          | (9)          | (8)          | 25           |
| <b>Core profit</b>         | <b>2,571</b> | <b>2,690</b> | <b>2,633</b> | <b>2,392</b> | <b>2,956</b> | <b>2,803</b> | <b>3,027</b> | <b>2,622</b> | <b>2,897</b> | <b>2,807</b> | <b>2,638</b> | <b>2,528</b> |
| <b>Attributable profit</b> | <b>2,571</b> | <b>2,630</b> | <b>2,593</b> | <b>2,268</b> | <b>2,951</b> | <b>2,789</b> | <b>3,027</b> | <b>2,522</b> | <b>2,897</b> | <b>2,807</b> | <b>2,638</b> | <b>2,428</b> |

Source: Company reports and J.P. Morgan estimates.

Table 14: DBS: Quarterly DuPont

|                            | 1Q23         | 2Q23         | 3Q23         | 4Q23         | 1Q24         | 2Q24         | 3Q24         | 4Q24         | 1Q25         | 2Q25E        | 3Q25E        | 4Q25E        |
|----------------------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|
| <b>NIM (% of avg. IEA)</b> | <b>2.12%</b> | <b>2.16%</b> | <b>2.19%</b> | <b>2.13%</b> | <b>2.14%</b> | <b>2.14%</b> | <b>2.11%</b> | <b>2.15%</b> | <b>2.12%</b> | <b>2.07%</b> | <b>2.04%</b> | <b>2.02%</b> |
| IEA/Assets                 | 83.9%        | 84.9%        | 84.7%        | 86.2%        | 86.7%        | 86.0%        | 85.9%        | 85.3%        | 83.6%        | 83.6%        | 83.6%        | 83.7%        |
| Margins (% of avg. Ass)    | 1.78%        | 1.83%        | 1.85%        | 1.84%        | 1.85%        | 1.84%        | 1.81%        | 1.83%        | 1.77%        | 1.73%        | 1.70%        | 1.69%        |
| Non-IR contribution        | 34.6%        | 32.5%        | 33.3%        | 32.1%        | 37.5%        | 35.2%        | 38.2%        | 33.1%        | 38.5%        | 38.6%        | 36.9%        | 35.5%        |
| Non-IR/Avg. Assets         | 0.93%        | 0.88%        | 0.93%        | 0.87%        | 1.11%        | 0.99%        | 1.13%        | 0.91%        | 1.10%        | 1.08%        | 1.01%        | 0.94%        |
| <b>Revenue/Assets</b>      | <b>2.69%</b> | <b>2.71%</b> | <b>2.80%</b> | <b>2.72%</b> | <b>2.95%</b> | <b>2.82%</b> | <b>2.95%</b> | <b>2.76%</b> | <b>2.87%</b> | <b>2.81%</b> | <b>2.72%</b> | <b>2.64%</b> |
| Cost/Income                | 37.6%        | 38.0%        | 38.8%        | 43.6%        | 37.1%        | 39.2%        | 38.6%        | 43.0%        | 37.0%        | 39.0%        | 40.8%        | 42.9%        |
| C/Assets                   | 1.01%        | 1.03%        | 1.08%        | 1.19%        | 1.09%        | 1.10%        | 1.14%        | 1.19%        | 1.06%        | 1.09%        | 1.11%        | 1.13%        |
| <b>Pre-Provision ROA</b>   | <b>1.7%</b>  | <b>1.7%</b>  | <b>1.7%</b>  | <b>1.5%</b>  | <b>1.9%</b>  | <b>1.7%</b>  | <b>1.8%</b>  | <b>1.6%</b>  | <b>1.8%</b>  | <b>1.7%</b>  | <b>1.6%</b>  | <b>1.5%</b>  |
| LLP/Loans                  | -0.15%       | -0.06%       | -0.20%       | -0.15%       | -0.13%       | -0.12%       | -0.12%       | -0.21%       | -0.30%       | -0.26%       | -0.26%       | -0.24%       |
| Loan/Assets                | 56.7%        | 56.2%        | 56.4%        | 57.1%        | 56.0%        | 54.8%        | 54.1%        | 53.2%        | 52.7%        | 52.6%        | 52.9%        | 52.9%        |
| Other Income/Assets        | 0.00%        | -0.01%       | 0.00%        | 0.00%        | 0.00%        | -0.02%       | 0.00%        | 0.01%        | 0.00%        | 0.00%        | 0.00%        | 0.00%        |
| Operating ROA              | 1.59%        | 1.65%        | 1.60%        | 1.45%        | 1.78%        | 1.65%        | 1.74%        | 1.46%        | 1.65%        | 1.58%        | 1.47%        | 1.38%        |
| Pre-Tax ROA                | 1.59%        | 1.64%        | 1.60%        | 1.45%        | 1.78%        | 1.63%        | 1.74%        | 1.47%        | 1.65%        | 1.58%        | 1.47%        | 1.38%        |
| Tax Rate                   | -12.8%       | -12.9%       | -12.4%       | -11.2%       | -12.7%       | -13.0%       | -12.1%       | -11.3%       | -15.4%       | -15.4%       | -15.4%       | -15.3%       |
| Minorities & Outside Int   | 0.00%        | 0.00%        | 0.00%        | 0.00%        | 0.00%        | 0.00%        | 0.00%        | 0.00%        | 0.00%        | 0.00%        | 0.00%        | 0.01%        |
| <b>ROA</b>                 | <b>1.38%</b> | <b>1.40%</b> | <b>1.38%</b> | <b>1.22%</b> | <b>1.55%</b> | <b>1.42%</b> | <b>1.53%</b> | <b>1.25%</b> | <b>1.39%</b> | <b>1.33%</b> | <b>1.24%</b> | <b>1.13%</b> |
| <b>RoRWA</b>               | <b>2.93%</b> | <b>2.90%</b> | <b>2.78%</b> | <b>2.44%</b> | <b>3.16%</b> | <b>2.91%</b> | <b>3.34%</b> | <b>2.92%</b> | <b>3.29%</b> | <b>3.12%</b> | <b>2.85%</b> | <b>2.59%</b> |
| Equity/Assets              | 7.37%        | 7.42%        | 7.58%        | 7.90%        | 7.95%        | 7.89%        | 8.09%        | 8.12%        | 7.96%        | 8.00%        | 8.12%        | 8.02%        |
| <b>ROE</b>                 | <b>18.7%</b> | <b>18.8%</b> | <b>18.2%</b> | <b>15.4%</b> | <b>19.5%</b> | <b>17.9%</b> | <b>18.9%</b> | <b>15.3%</b> | <b>17.4%</b> | <b>16.6%</b> | <b>15.3%</b> | <b>14.1%</b> |

Source: Company reports and J.P. Morgan estimates.

## Price Performance



|     | YTD   | 1m   | 3m    | 12m   |
|-----|-------|------|-------|-------|
| Abs | 1.5%  | 8.7% | -3.7% | 24.0% |
| Rel | -1.0% | 4.3% | -2.5% | 6.8%  |

## Company Data

|                             |             |
|-----------------------------|-------------|
| Shares O/S (mn)             | 2,845       |
| 52-week range (\$\$)        | 46.81-32.59 |
| Market cap (\$ mn)          | 97,507      |
| Exchange rate               | 1.29        |
| Free float (%)              | 70.8%       |
| 3M ADV (mn)                 | 6.25        |
| 3M ADV (\$ mn)              | 207.7       |
| Volatility (90 Day)         | 29          |
| Index                       | FTSTI       |
| BBG ANR (Buy   Hold   Sell) | 11 8 0      |

## Key Metrics (FYE Dec)

| \$S in millions            | FY24A   | FY25E   | FY26E   | FY27E    |
|----------------------------|---------|---------|---------|----------|
| <b>Financial Estimates</b> |         |         |         |          |
| Net interest income        | 14,424  | 14,621  | 14,632  | 14,742   |
| Non interest income        | 8,123   | 8,733   | 9,129   | 9,542    |
| Operating expenses         | (8,895) | (9,311) | (9,742) | (10,194) |
| Adj. PPOP                  | 13,652  | 14,043  | 14,018  | 14,090   |
| Provision for loan losses  | (623)   | (1,181) | (1,189) | (1,246)  |
| Adj. PBT                   | 12,888  | 12,751  | 12,723  | 12,742   |
| Adj. net income            | 11,289  | 10,771  | 10,747  | 10,763   |
| Adj. EPS                   | 3.97    | 3.81    | 3.85    | 3.90     |
| BBG EPS                    | 3.97    | 3.86    | 3.95    | 4.12     |
| DPS                        | 2.22    | 3.08    | 3.32    | 3.50     |
| Loans                      | 430,594 | 447,799 | 468,917 | 491,133  |
| Deposits                   | 561,730 | 586,200 | 606,931 | 628,411  |
| Total Assets               | 827,219 | 862,590 | 895,826 | 930,061  |
| <b>Margins and Growth</b>  |         |         |         |          |
| NIM                        | 2.1%    | 2.1%    | 2.0%    | 1.9%     |
| <b>Ratios</b>              |         |         |         |          |
| Loan/ Deposit ratio        | 76.7%   | 76.4%   | 77.3%   | 78.2%    |
| NPL / Loans                | 1.1%    | 1.1%    | 1.3%    | 1.4%     |
| Coverage                   | 127.4%  | 125.5%  | 112.3%  | 100.7%   |
| CET 1                      | -       | -       | -       | -        |
| Non-int. income/ Income    | 36.0%   | 37.4%   | 38.4%   | 39.3%    |
| Cost/Income                | 39.5%   | 39.9%   | 41.0%   | 42.0%    |
| LLP/Loans                  | (0.1%)  | (0.3%)  | (0.3%)  | (0.3%)   |
| ROA                        | 1.4%    | 1.3%    | 1.2%    | 1.2%     |
| ROE                        | 17.9%   | 16.0%   | 15.4%   | 15.1%    |
| <b>Valuation</b>           |         |         |         |          |
| Dividend yield             | 5.0%    | 6.9%    | 7.5%    | 7.9%     |
| Adj. P/E                   | 11.2    | 11.6    | 11.5    | 11.4     |
| P/ BV                      | 1.90    | 1.82    | 1.73    | 1.71     |

## Summary Investment Thesis and Valuation

### Investment Thesis

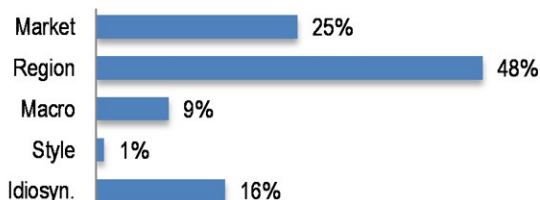
We hold a Neutral rating on DBS.

- The bank's commitment to and delivery of payouts in numerous forms (progressively increasing regular dividends, bonus shares and buyback) allows investors to pay a multiple for the income stream. Yet, with progressively higher payout and range-bound EPS, it becomes tougher for the stock to re-rate beyond a point.
- DBS is positioned to deliver ~S\$10.8bn in profits over the next 3Y, despite potential decline in NIM with lower rates. WM continues to drive non-II, and asset quality appears intact. We expect 8/8bps annual decline in NIM 2025/26E. The bank has reduced rate-sensitivity of NIM over the next few years, helping improve capital generation visibility. Yet, the synchronized decline in rates across SGD and HKD suggests NIM will still come off, and DPS would stabilize in 2028-30E.
- DBS has delivered one of the best ROE expansions in the last decade as high rates and technology-led changes across the franchise led to improvements in growth, efficiency, and returns. The bank's digital strength is driving gains in loan market share, WM, as well as underwriting, which had previously seen challenges at the bank.

### Valuation

Our Jun-26 PT of S\$47 is based on a fair P/B of 1.77x, assuming a normalized RoE of 15.1%, a risk-free rate of 4.2%, a cost of capital of 9.2% and a growth rate of 1.50%.

### Performance Drivers



| Factors                      | 6M Corr | 1Y Corr |
|------------------------------|---------|---------|
| Market: MSCI Asia Pac ex JP  | 0.68    | 0.50    |
| Region: Singapore            | 0.74    | 0.82    |
| <b>Macro:</b>                |         |         |
| HSI Volatility Index         | -0.58   | -0.58   |
| JPM China A-shares Sentiment | -0.07   | -0.26   |
| Emerging Economies CPI(YoY)  | 0.34    | 0.26    |
| <b>Quant Styles:</b>         |         |         |
| Growth                       | 0.26    | 0.41    |
| Momentum                     | 0.15    | 0.40    |
| DivYld                       | -0.07   | -0.18   |

## DBS Group Holdings (Neutral; Price Target: S\$47.00)

### Investment Thesis

We hold a Neutral rating on DBS.

- The bank's commitment to and delivery of payouts in numerous forms (progressively increasing regular dividends, bonus shares and buyback) allows investors to pay a multiple for the income stream. Yet, with progressively higher payout and range-bound EPS, it becomes tougher for the stock to re-rate beyond a point.
- DBS is positioned to deliver ~S\$10.8bn in profits over the next 3Y, despite potential decline in NIM with lower rates. WM continues to drive non-II, and asset quality appears intact. We expect 8/8bps annual decline in NIM 2025/26E. The bank has reduced rate-sensitivity of NIM over the next few years, helping improve capital generation visibility. Yet, the synchronized decline in rates across SGD and HKD suggests NIM will still come off, and DPS would stabilize in 2028-30E.
- DBS has delivered one of the best ROE expansions in the last decade as high rates and technology-led changes across the franchise led to improvements in growth, efficiency, and returns. The bank's digital strength is driving gains in loan market share, WM, as well as underwriting, which had previously seen challenges at the bank.
- Any indication of a pick-up in NPL formation would be a catalyst for de-rating. A key risk area could be trade-related exposure.

### Valuation

Our Jun-26 PT of S\$47 is based on a fair P/B of 1.77x, assuming a normalized RoE of 15.1%, a risk-free rate of 4.2%, a cost of capital of 9.2% and a growth rate of 1.50%.

### Risks to Rating and Price Target

Upside catalysts include: (1) further increases in payout; (2) resilient GDP growth, leading to better-than-expected growth and asset quality; (3) sustained improvements in underwriting and monitoring, leading to lower-than-expected credit costs; (4) better-than-expected efficiency gains due to digital investments; and (5) better-than-expected WM performance.

Downside risks include: (1) dividend disappointment; (2) asset quality deterioration; and (3) faster and/or larger Fed rate cuts or decline in SORA, which would drive a larger than expected NIM compression. Any acquisition will come with two-sided risks.

## DBS Group Holdings: Summary of Financials

| Income Statement                |               |               |               |               |               | Balance Sheet                                   |                |                |                |                |                |
|---------------------------------|---------------|---------------|---------------|---------------|---------------|-------------------------------------------------|----------------|----------------|----------------|----------------|----------------|
|                                 | FY23A         | FY24A         | FY25E         | FY26E         | FY27E         |                                                 | FY23A          | FY24A          | FY25E          | FY26E          | FY27E          |
| Interest income                 | 27,862        | 30,927        | 30,118        | 29,677        | 29,646        | Cash and cash equivalents                       | 0              | 0              | 0              | 0              | 0              |
| Interest expense                | (14,220)      | (16,503)      | (15,497)      | (15,045)      | (14,904)      | Deposits with banks                             | 117,674        | 139,061        | 147,795        | 148,149        | 147,853        |
| <b>Net interest income</b>      | <b>13,642</b> | <b>14,424</b> | <b>14,621</b> | <b>14,632</b> | <b>14,742</b> | Net loans                                       | 416,163        | 430,594        | 447,799        | 468,917        | 491,133        |
| Non interest income             | 6,752         | 8,123         | 8,733         | 9,129         | 9,542         | PP&E                                            | 3,689          | 3,873          | 3,989          | 4,109          | 4,232          |
| o/w Fee income                  | 3,384         | 4,168         | 4,626         | 4,858         | 5,101         | Net intangibles                                 | 6,313          | 6,372          | 6,372          | 6,372          | 6,372          |
| o/w Trading income              | 1,369         | 1,541         | 1,572         | 1,635         | 1,700         | LT investments                                  | 154,787        | 189,665        | 197,252        | 207,114        | 217,470        |
| <b>Net revenues</b>             | <b>20,394</b> | <b>22,547</b> | <b>23,354</b> | <b>23,760</b> | <b>24,284</b> | Other assets                                    | 40,675         | 57,654         | 59,384         | 61,165         | 63,000         |
| Non interest expense            | (8,056)       | (8,895)       | (9,311)       | (9,742)       | (10,194)      | <b>Total assets</b>                             | <b>739,301</b> | <b>827,219</b> | <b>862,590</b> | <b>895,826</b> | <b>930,061</b> |
| o/w Employee costs              | 0             | 0             | 0             | 0             | 0             | Interest earning assets                         | 694,613        | 765,410        | 799,390        | 831,058        | 863,583        |
| <b>Pre-Prov. Profits</b>        | <b>12,338</b> | <b>13,652</b> | <b>14,043</b> | <b>14,018</b> | <b>14,090</b> | Deposits                                        | 535,103        | 561,730        | 586,200        | 606,931        | 628,411        |
| Provisions                      | (591)         | (623)         | (1,181)       | (1,189)       | (1,246)       | Borrowings                                      | 96,102         | 133,343        | 139,813        | 147,943        | 156,547        |
| <b>Adj. PBT</b>                 | <b>11,515</b> | <b>12,888</b> | <b>12,751</b> | <b>12,723</b> | <b>12,742</b> | Other liabilities                               | 48,241         | 65,705         | 68,238         | 69,796         | 73,984         |
| Income taxes                    | (1,452)       | (1,598)       | (1,979)       | (1,975)       | (1,978)       | <b>Total liabilities</b>                        | <b>679,446</b> | <b>760,778</b> | <b>794,251</b> | <b>824,671</b> | <b>858,942</b> |
| Minority interest               | (1)           | (1)           | (1)           | (1)           | (1)           | Shareholder equity                              | 59,673         | 66,394         | 68,293         | 71,109         | 71,071         |
| <b>Adj. Net profit</b>          | <b>10,062</b> | <b>11,289</b> | <b>10,771</b> | <b>10,747</b> | <b>10,763</b> | Minority interests                              | 182            | 47             | 47             | 47             | 47             |
| PPOP per share                  | 4.35          | 4.80          | 5.00          | 5.05          | 5.14          | <b>Total liabilities and Shareholder equity</b> | <b>739,301</b> | <b>827,219</b> | <b>862,590</b> | <b>895,826</b> | <b>930,061</b> |
| Reported EPS                    | 3.55          | 3.97          | 3.81          | 3.85          | 3.90          | Interest bearing liabilities                    | 604,787        | 604,787        | 710,543        | 740,444        | 769,916        |
| <b>Adj. EPS</b>                 | <b>3.55</b>   | <b>3.97</b>   | <b>3.81</b>   | <b>3.85</b>   | <b>3.90</b>   | Book Value Per Share                            | 21.03          | 23.38          | 24.33          | 25.64          | 25.94          |
| <b>DPS</b>                      | <b>1.75</b>   | <b>2.22</b>   | <b>3.08</b>   | <b>3.32</b>   | <b>3.50</b>   | Tangible Book Value Per Share                   | 21.03          | 23.38          | 24.33          | 25.64          | 25.94          |
| Diluted shares outstanding      | 2,836         | 2,843         | 2,823         | 2,790         | 2,757         |                                                 |                |                |                |                |                |
| Balance Sheet Gearing           |               |               |               |               |               | Asset Quality/Capital                           |                |                |                |                |                |
|                                 | FY23A         | FY24A         | FY25E         | FY26E         | FY27E         |                                                 | FY23A          | FY24A          | FY25E          | FY26E          | FY27E          |
| Loans/Deposits                  | 77.8%         | 76.7%         | 76.4%         | 77.3%         | 78.2%         | Loan loss reserves/Loans                        | (1.4%)         | (1.4%)         | (1.4%)         | (1.4%)         | (1.4%)         |
| Investment/Assets               | 20.1%         | 22.0%         | 22.9%         | 23.0%         | 23.3%         | NPLs/Loans                                      | 1.1%           | 1.1%           | 1.1%           | 1.3%           | 1.4%           |
| Loan/Assets                     | 56.8%         | 54.8%         | 52.7%         | 52.9%         | 53.3%         | Loan loss reserves/NPLs                         | 124.3%         | 127.5%         | 126.4%         | 118.3%         | 106.1%         |
| Customer deposits/Liabilities   | 78.8%         | 73.8%         | 73.8%         | 73.6%         | 73.2%         | NPL y/y growth                                  | (1.3%)         | 1.8%           | 9.1%           | 17.4%          | 15.5%          |
| LT debt/Liabilities             | 13.7%         | 15.9%         | 17.6%         | 17.8%         | 18.1%         | Tier 1 ratio                                    | 15.3%          | 17.7%          | 16.9%          | 16.3%          | 15.4%          |
| Ratio Analysis (%)              |               |               |               |               |               |                                                 | FY23A          | FY24A          | FY25E          | FY26E          | FY27E          |
|                                 | FY23A         | FY24A         | FY25E         | FY26E         | FY27E         |                                                 | FY23A          | FY24A          | FY25E          | FY26E          | FY27E          |
| Net interest margin             | 2.2%          | 2.1%          | 2.1%          | 2.0%          | 1.9%          | CAR                                             | 16.1%          | 18.6%          | 17.7%          | 17.2%          | 16.1%          |
| Non interest income/Net revenue | 33.1%         | 36.0%         | 37.4%         | 38.4%         | 39.3%         | Return on equity (ROE)                          | 17.6%          | 17.9%          | 16.0%          | 15.4%          | 15.1%          |
| Non interest income/Avg. Assets | 0.9%          | 1.0%          | 1.0%          | 1.0%          | 1.0%          | Return on assets (ROA)                          | 1.4%           | 1.4%           | 1.3%           | 1.2%           | 1.2%           |
| Efficiency ratio                | 39.5%         | 39.5%         | 39.9%         | 41.0%         | 42.0%         | Operating ROA                                   | 1.6%           | 1.7%           | 1.5%           | 1.5%           | 1.4%           |
| Leverage ratio                  | 7.6%          | 8.0%          | 7.6%          | 7.3%          | 7.0%          | Pre-Tax ROA                                     | 1.6%           | 1.6%           | 1.5%           | 1.4%           | 1.4%           |
| Revenue/Assets                  | 2.8%          | 2.9%          | 2.8%          | 2.7%          | 2.7%          | Pre-Provision ROA                               | 1.7%           | 1.7%           | 1.7%           | 1.6%           | 1.5%           |
| RORWA                           | 2.8%          | 3.1%          | 2.9%          | 2.8%          | 2.6%          | Tax rate                                        | 12.6%          | 12.4%          | 15.5%          | 15.5%          | 15.5%          |
| RWA                             | 368,363       | 352,002       | 379,540       | 394,163       | 418,527       | Net loans y/y growth                            | 0.4%           | 3.5%           | 4.0%           | 4.7%           | 4.7%           |
| Avg. RWA                        | 357,629       | 360,183       | 365,771       | 386,852       | 406,345       | Assets y/y growth                               | (0.5%)         | 11.9%          | 4.3%           | 3.9%           | 3.8%           |
| Avg. IEA                        | 634,435       | 676,148       | 711,984       | 741,853       | 771,061       | RWA y/y growth                                  | 6.2%           | (4.4%)         | 7.8%           | 3.9%           | 6.2%           |
| Gross Loans                     | 422,152       | 436,684       | 454,344       | 475,795       | 498,260       | Deposits y/y growth                             | 1.5%           | 5.0%           | 4.4%           | 3.5%           | 3.5%           |
| Avg. IBL                        | 604,787       | 604,787       | 710,543       | 740,444       | 769,916       | Net interest income y/y growth                  | 24.7%          | 5.7%           | 1.4%           | 0.1%           | 0.8%           |
| LLR                             | (5,989)       | (6,090)       | (6,544)       | (6,877)       | (7,127)       | Revenues y/y growth                             | 22.1%          | 10.6%          | 3.6%           | 1.7%           | 2.2%           |
| NPLs                            | 4,697         | 4,780         | 5,217         | 6,125         | 7,077         | Adj. EPS y/y growth                             | 22.6%          | 11.9%          | (3.9%)         | 1.0%           | 1.4%           |
| P/BV (x)                        | 2.11          | 1.90          | 1.82          | 1.73          | 1.71          | BVPS y/y growth                                 | 9.3%           | 11.1%          | 4.1%           | 5.4%           | 1.2%           |
| Adj. P/E (x)                    | 12.5          | 11.2          | 11.6          | 11.5          | 11.4          | IE assets/Assets                                | 85.6%          | 86.3%          | 84.3%          | 84.4%          | 84.5%          |
| Dividend yield                  | 3.9%          | 5.0%          | 6.9%          | 7.5%          | 7.9%          | Margins (as % of Avg. Assets)                   | 1.7%           | 1.7%           | 1.6%           | 1.5%           | 1.5%           |
| Dividend payout                 | 49.2%         | 55.9%         | 80.7%         | 86.2%         | 89.7%         | LLP/Loans                                       | (0.1%)         | (0.1%)         | (0.3%)         | (0.3%)         | (0.3%)         |
|                                 |               |               |               |               |               | Equity/Assets                                   | 7.7%           | 8.0%           | 8.0%           | 7.9%           | 7.8%           |
|                                 |               |               |               |               |               | Cost/Assets                                     | 1.1%           | 1.1%           | 1.1%           | 1.1%           | 1.1%           |
|                                 |               |               |               |               |               | Assets/Equity                                   | 13.0           | 12.4           | 12.5           | 12.6           | 12.8           |

Source: Company reports and J.P. Morgan estimates.

Note: \$S in millions (except per-share data). Fiscal year ends Dec

## Not Rated

OCBC.SI, OCBC SP

Price (20 May 25):\$16.21

### APAC Banks

Harsh Wardhan Modi <sup>AC</sup>

(65) 6882-2450

harsh.w.modi@jpmorgan.com

J.P. Morgan Securities Singapore Private Limited/  
J.P. Morgan Securities (Asia Pacific) Limited/ J.P.  
Morgan Broking (Hong Kong) Limited

### Key Changes (FYE Dec)

|                      | Prev | Cur  |
|----------------------|------|------|
| Adj. EPS - 25E (S\$) | 1.65 | 1.58 |
| Adj. EPS - 26E (S\$) | 1.71 | 1.60 |

### Quarterly Forecasts (FYE Dec)

| Adj. EPS (S\$) | 2024A | 2025E | 2026E |
|----------------|-------|-------|-------|
| Q1             | 0.44  | 0.42A |       |
| Q2             | 0.43  | 0.41  |       |
| Q3             | 0.44  | 0.40  |       |
| Q4             | 0.37  | 0.35  |       |
| FY             | 1.67  | 1.58  | 1.60  |

### Style Exposure

| Quant    | Current | Hist %Rank (1=Top) |    |    |    |
|----------|---------|--------------------|----|----|----|
| Factors  | %Rank   | 6M                 | 1Y | 3Y | 5Y |
| Value    | 16      | 19                 | 19 | 7  | 19 |
| Growth   | 16      | 13                 | 29 | 13 | 94 |
| Momentum | 72      | 22                 | 16 | 47 | 85 |
| Quality  | 4       | 7                  | 10 | 4  | 41 |
| Low Vol  | 10      | 4                  | 4  | 29 | 1  |
| ESGQ     | 12      | 84                 | 86 | 90 | 89 |

## OCBC Bank

### A financial conglomerate

OCBC's quarterly NIM has moved up 79bps from trough to peak in last 3 years, as SGD/USD/HKD rates moved up 358/525/528bps during the period. The bank's NIM peaked in 4Q22, and has come off 27bps since (till Mar-25). As rates come off across USD/SGD/HKD, we forecast 21/11bps NIM compression in 2025/26 for the bank.

The insurance, China and asset management associates and subsidiaries have led to a degree of diversification from the banking businesses. Yet, the key trends at the bank will still dominate earnings and revisions.

## Annual forecasts

Table 15: OCBC: Annual P&L

| S\$ in mn                    | 2014         | 2015         | 2016         | 2017         | 2018         | 2019          | 2020          | 2021          | 2022          | 2023          | 2024          | 2025E         | 2026E         | 2027E         |
|------------------------------|--------------|--------------|--------------|--------------|--------------|---------------|---------------|---------------|---------------|---------------|---------------|---------------|---------------|---------------|
| <b>Net Interest Income</b>   | 4,736        | 5,189        | 5,052        | 5,423        | 5,890        | 6,331         | 5,966         | 5,855         | 7,688         | 9,645         | 9,755         | 9,369         | 9,160         | 9,199         |
| <b>Non-Interest Income</b>   | 3,182        | 3,530        | 3,437        | 4,213        | 3,811        | 4,540         | 4,173         | 4,741         | 3,987         | 3,862         | 4,718         | 5,019         | 5,344         | 5,569         |
| Net Fee income               | 1,495        | 1,643        | 1,638        | 1,953        | 2,031        | 2,123         | 2,003         | 2,245         | 1,851         | 1,804         | 1,970         | 2,147         | 2,276         | 2,367         |
| Trading income               | 498          | 756          | 727          | 946          | 524          | 1,148         | 1,071         | 855           | 628           | 1,250         | 1,831         | 1,771         | 1,923         | 2,000         |
| Other operating income       | 1,189        | 1,131        | 1,072        | 1,314        | 1,256        | 1,269         | 1,099         | 1,641         | 1,508         | 808           | 917           | 1,100         | 1,144         | 1,202         |
| <b>Total Revenues</b>        | <b>7,918</b> | <b>8,719</b> | <b>8,489</b> | <b>9,636</b> | <b>9,701</b> | <b>10,871</b> | <b>10,139</b> | <b>10,596</b> | <b>11,675</b> | <b>13,507</b> | <b>14,473</b> | <b>14,387</b> | <b>14,504</b> | <b>14,768</b> |
| Costs                        | (3,258)      | (3,664)      | (3,788)      | (4,034)      | (4,214)      | (4,644)       | (4,439)       | (4,764)       | (5,026)       | (5,223)       | (5,742)       | (5,955)       | (6,153)       | (6,297)       |
| <b>PPOP</b>                  | <b>4,660</b> | <b>5,055</b> | <b>4,701</b> | <b>5,602</b> | <b>5,487</b> | <b>6,227</b>  | <b>5,700</b>  | <b>5,832</b>  | <b>6,649</b>  | <b>8,284</b>  | <b>8,731</b>  | <b>8,433</b>  | <b>8,350</b>  | <b>8,471</b>  |
| Loan loss provisions         | (359)        | (409)        | (656)        | (621)        | (307)        | (747)         | (2,043)       | (873)         | (584)         | (733)         | (690)         | (865)         | (867)         | (904)         |
| Other provisions             | (72)         | (177)        | (166)        | (154)        | (83)         | (102)         | (104)         | (103)         | (104)         | (103)         | (59)          | (59)          | (59)          | (59)          |
| Other income                 | 112          | 353          | 396          | 389          | 455          | 566           | 612           | 824           | 978           | 953           | 994           | 1,123         | 1,236         | 1,359         |
| <b>Pre-Tax</b>               | <b>4,341</b> | <b>4,822</b> | <b>4,275</b> | <b>5,216</b> | <b>5,552</b> | <b>5,944</b>  | <b>4,165</b>  | <b>5,680</b>  | <b>6,939</b>  | <b>8,401</b>  | <b>8,976</b>  | <b>8,632</b>  | <b>8,660</b>  | <b>8,867</b>  |
| Tax                          | (687)        | (717)        | (629)        | (803)        | (877)        | (814)         | (437)         | (648)         | (1,057)       | (1,236)       | (1,228)       | (1,295)       | (1,299)       | (1,330)       |
| Minorities and Hybrids       | (234)        | (205)        | (173)        | (267)        | (183)        | (170)         | (142)         | (174)         | (134)         | (144)         | (161)         | (209)         | (220)         | (231)         |
| <b>Core Reported profit</b>  | <b>3,420</b> | <b>3,900</b> | <b>3,473</b> | <b>4,146</b> | <b>4,492</b> | <b>4,960</b>  | <b>3,586</b>  | <b>4,858</b>  | <b>5,748</b>  | <b>7,021</b>  | <b>7,587</b>  | <b>7,128</b>  | <b>7,141</b>  | <b>7,306</b>  |
| <b>Profits to Equity SHs</b> | <b>3,785</b> | <b>3,844</b> | <b>3,414</b> | <b>4,089</b> | <b>4,459</b> | <b>4,810</b>  | <b>3,530</b>  | <b>4,812</b>  | <b>5,691</b>  | <b>6,986</b>  | <b>7,519</b>  | <b>7,059</b>  | <b>7,072</b>  | <b>7,238</b>  |

Source: Company reports and J.P. Morgan estimates.

Table 16: OCBC: Annual DuPont

|                            | 2014         | 2015         | 2016         | 2017         | 2018         | 2019         | 2020         | 2021         | 2022         | 2023         | 2024         | 2025E        | 2026E        | 2027E        |
|----------------------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|
| <b>NIM (% of avg. IEA)</b> | <b>1.68%</b> | <b>1.67%</b> | <b>1.67%</b> | <b>1.65%</b> | <b>1.70%</b> | <b>1.77%</b> | <b>1.61%</b> | <b>1.54%</b> | <b>1.91%</b> | <b>2.28%</b> | <b>2.20%</b> | <b>1.99%</b> | <b>1.88%</b> | <b>1.83%</b> |
| IEA/Assets                 | 76.1%        | 78.4%        | 75.7%        | 76.0%        | 75.3%        | 74.5%        | 72.9%        | 71.4%        | 72.9%        | 74.1%        | 73.5%        | 73.4%        | 73.4%        | 73.3%        |
| Margins (% of avg. Assets) | 1.28%        | 1.31%        | 1.26%        | 1.25%        | 1.28%        | 1.32%        | 1.18%        | 1.10%        | 1.40%        | 1.69%        | 1.62%        | 1.46%        | 1.38%        | 1.34%        |
| Non-IR contribution        | 40.2%        | 40.5%        | 40.5%        | 43.7%        | 39.3%        | 41.8%        | 41.2%        | 44.7%        | 34.1%        | 28.6%        | 32.6%        | 34.9%        | 36.8%        | 37.7%        |
| Non-IR/Avg. Assets         | 0.86%        | 0.89%        | 0.86%        | 0.97%        | 0.83%        | 0.95%        | 0.82%        | 0.89%        | 0.72%        | 0.68%        | 0.78%        | 0.78%        | 0.80%        | 0.81%        |
| <b>Revenue/Assets</b>      | <b>2.14%</b> | <b>2.20%</b> | <b>2.12%</b> | <b>2.23%</b> | <b>2.10%</b> | <b>2.27%</b> | <b>2.00%</b> | <b>1.99%</b> | <b>2.12%</b> | <b>2.37%</b> | <b>2.40%</b> | <b>2.25%</b> | <b>2.18%</b> | <b>2.15%</b> |
| Cost/Income                | 41.1%        | 42.0%        | 44.6%        | 41.9%        | 43.4%        | 42.7%        | 43.8%        | 45.0%        | 43.0%        | 38.7%        | 39.7%        | 41.4%        | 42.4%        | 42.6%        |
| C/Assets                   | 0.88%        | 0.93%        | 0.95%        | 0.93%        | 0.91%        | 0.97%        | 0.88%        | 0.90%        | 0.91%        | 0.92%        | 0.95%        | 0.93%        | 0.92%        | 0.92%        |
| <b>Pre-Provision ROA</b>   | <b>1.26%</b> | <b>1.28%</b> | <b>1.18%</b> | <b>1.30%</b> | <b>1.19%</b> | <b>1.30%</b> | <b>1.13%</b> | <b>1.10%</b> | <b>1.21%</b> | <b>1.45%</b> | <b>1.45%</b> | <b>1.32%</b> | <b>1.25%</b> | <b>1.23%</b> |
| LLP/Loans                  | -0.19%       | -0.19%       | -0.30%       | -0.27%       | -0.12%       | -0.29%       | -0.77%       | -0.31%       | -0.20%       | -0.25%       | -0.22%       | -0.27%       | -0.26%       | -0.26%       |
| Loan/Assets                | 51.3%        | 53.1%        | 53.8%        | 52.9%        | 53.7%        | 54.5%        | 52.5%        | 52.4%        | 53.1%        | 51.8%        | 51.0%        | 50.9%        | 51.1%        | 51.6%        |
| Other Income/Assets        | 0.01%        | 0.04%        | 0.06%        | 0.05%        | 0.08%        | 0.10%        | 0.10%        | 0.14%        | 0.16%        | 0.15%        | 0.15%        | 0.17%        | 0.18%        | 0.19%        |
| <b>Operating ROA</b>       | <b>1.16%</b> | <b>1.17%</b> | <b>1.01%</b> | <b>1.15%</b> | <b>1.12%</b> | <b>1.14%</b> | <b>0.72%</b> | <b>0.93%</b> | <b>1.10%</b> | <b>1.32%</b> | <b>1.33%</b> | <b>1.18%</b> | <b>1.12%</b> | <b>1.10%</b> |
| Pre-Tax ROA                | 1.17%        | 1.22%        | 1.07%        | 1.21%        | 1.20%        | 1.24%        | 0.82%        | 1.07%        | 1.26%        | 1.47%        | 1.49%        | 1.35%        | 1.30%        | 1.29%        |
| Tax Rate                   | -15.8%       | -14.9%       | -14.7%       | -15.4%       | -15.8%       | -13.7%       | -10.5%       | -11.4%       | -15.2%       | -14.7%       | -13.7%       | -15.0%       | -15.0%       | -15.0%       |
| Minorities & Outside Int.  | -0.06%       | -0.05%       | -0.04%       | -0.06%       | -0.04%       | -0.04%       | -0.03%       | -0.03%       | -0.02%       | -0.03%       | -0.03%       | -0.03%       | -0.03%       | -0.03%       |
| <b>ROA</b>                 | <b>1.04%</b> | <b>0.99%</b> | <b>0.87%</b> | <b>0.96%</b> | <b>0.97%</b> | <b>1.02%</b> | <b>0.71%</b> | <b>0.91%</b> | <b>1.04%</b> | <b>1.23%</b> | <b>1.26%</b> | <b>1.11%</b> | <b>1.07%</b> | <b>1.06%</b> |
| <b>RoRWA</b>               | <b>2.27%</b> | <b>2.05%</b> | <b>1.78%</b> | <b>2.12%</b> | <b>2.28%</b> | <b>2.35%</b> | <b>1.66%</b> | <b>2.19%</b> | <b>2.52%</b> | <b>3.00%</b> | <b>3.21%</b> | <b>2.92%</b> | <b>2.75%</b> | <b>2.66%</b> |
| Equity/Assets              | 7.2%         | 7.9%         | 8.6%         | 8.4%         | 8.5%         | 9.0%         | 9.2%         | 9.3%         | 9.3%         | 9.1%         | 9.2%         | 9.1%         | 9.0%         | 8.9%         |
| <b>ROE</b>                 | <b>14.4%</b> | <b>12.4%</b> | <b>10.1%</b> | <b>11.3%</b> | <b>11.5%</b> | <b>11.3%</b> | <b>7.7%</b>  | <b>9.8%</b>  | <b>11.2%</b> | <b>13.5%</b> | <b>13.7%</b> | <b>12.2%</b> | <b>12.0%</b> | <b>12.0%</b> |

Source: Company reports and J.P. Morgan estimates.



## Quarterly forecasts

Table 17: OCBC: Quarterly P&L

| S\$ in mn                    | 1Q23         | 2Q23         | 3Q23         | 4Q23         | 1Q24         | 2Q24         | 3Q24         | 4Q24         | 1Q25         | 2Q25E        | 3Q25E        | 4Q25E        |
|------------------------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|
| Interest Income              | 4,675        | 5,171        | 5,438        | 5,582        | 5,615        | 5,615        | 5,596        | 5,617        | 5,538        | 5,485        | 5,398        | 5,392        |
| Interest Expense             | (2,336)      | (2,783)      | (2,982)      | (3,120)      | (3,178)      | (3,185)      | (3,163)      | (3,162)      | (3,193)      | (3,142)      | (3,048)      | (3,061)      |
| <b>Net Interest Income</b>   | <b>2,338</b> | <b>2,389</b> | <b>2,456</b> | <b>2,462</b> | <b>2,437</b> | <b>2,430</b> | <b>2,433</b> | <b>2,455</b> | <b>2,345</b> | <b>2,343</b> | <b>2,349</b> | <b>2,331</b> |
| <b>Non-Interest Income</b>   | <b>1,012</b> | <b>1,066</b> | <b>973</b>   | <b>811</b>   | <b>1,189</b> | <b>1,199</b> | <b>1,369</b> | <b>961</b>   | <b>1,310</b> | <b>1,298</b> | <b>1,269</b> | <b>1,141</b> |
| Net Fee income               | 453          | 430          | 461          | 460          | 479          | 466          | 508          | 517          | 546          | 557          | 529          | 515          |
| Trading income               | 321          | 374          | 292          | 263          | 421          | 439          | 628          | 343          | 458          | 472          | 465          | 375          |
| Other operating income       | 238          | 262          | 220          | 88           | 289          | 294          | 233          | 101          | 306          | 269          | 275          | 250          |
| <b>Total Revenues</b>        | <b>3,350</b> | <b>3,455</b> | <b>3,429</b> | <b>3,273</b> | <b>3,626</b> | <b>3,629</b> | <b>3,802</b> | <b>3,416</b> | <b>3,655</b> | <b>3,642</b> | <b>3,618</b> | <b>3,473</b> |
| Costs                        | (1,244)      | (1,329)      | (1,340)      | (1,310)      | (1,346)      | (1,373)      | (1,463)      | (1,560)      | (1,415)      | (1,466)      | (1,477)      | (1,597)      |
| <b>PPOP</b>                  | <b>2,106</b> | <b>2,126</b> | <b>2,089</b> | <b>1,963</b> | <b>2,280</b> | <b>2,256</b> | <b>2,339</b> | <b>1,856</b> | <b>2,240</b> | <b>2,175</b> | <b>2,141</b> | <b>1,876</b> |
| Loan loss provisions         | (110)        | (239)        | (184)        | (200)        | (169)        | (55)         | (169)        | (297)        | (212)        | (215)        | (217)        | (221)        |
| Other provisions             | (25)         | (39)         | (26)         | (13)         | (25)         | (111)        | (7)          | 84           | (5)          | (15)         | (15)         | (24)         |
| Other income                 | 260          | 250          | 254          | 189          | 255          | 243          | 251          | 245          | 274          | 279          | 288          | 282          |
| <b>Pre-Tax</b>               | <b>2,231</b> | <b>2,098</b> | <b>2,133</b> | <b>1,939</b> | <b>2,341</b> | <b>2,333</b> | <b>2,414</b> | <b>1,888</b> | <b>2,297</b> | <b>2,225</b> | <b>2,197</b> | <b>1,913</b> |
| Tax                          | (347)        | (315)        | (345)        | (229)        | (344)        | (310)        | (339)        | (235)        | (313)        | (345)        | (341)        | (297)        |
| Minorities and Hybrids       | (6)          | (72)         | 22           | (88)         | (15)         | (79)         | (101)        | 34           | (101)        | (36)         | (36)         | (36)         |
| <b>Core Reported profits</b> | <b>1,879</b> | <b>1,710</b> | <b>1,810</b> | <b>1,622</b> | <b>1,982</b> | <b>1,944</b> | <b>1,974</b> | <b>1,687</b> | <b>1,883</b> | <b>1,844</b> | <b>1,820</b> | <b>1,581</b> |
| <b>Profits to Equity SHs</b> | <b>1,863</b> | <b>1,694</b> | <b>1,802</b> | <b>1,609</b> | <b>1,965</b> | <b>1,927</b> | <b>1,957</b> | <b>1,670</b> | <b>1,866</b> | <b>1,827</b> | <b>1,803</b> | <b>1,564</b> |

Source: Company reports and J.P. Morgan estimates.

Table 18: OCBC: Quarterly DuPont

|                            | 1Q23         | 2Q23         | 3Q23         | 4Q23         | 1Q24         | 2Q24         | 3Q24         | 4Q24         | 1Q25         | 2Q25E        | 3Q25E        | 4Q25E        |
|----------------------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|
| <b>NIM (% of avg. IEA)</b> | <b>2.30%</b> | <b>2.26%</b> | <b>2.27%</b> | <b>2.29%</b> | <b>2.27%</b> | <b>2.20%</b> | <b>2.18%</b> | <b>2.15%</b> | <b>2.04%</b> | <b>1.98%</b> | <b>1.94%</b> | <b>1.92%</b> |
| IEA/Assets                 | 73.2%        | 73.7%        | 73.7%        | 73.3%        | 73.3%        | 74.2%        | 73.9%        | 74.0%        | 74.0%        | 74.3%        | 74.2%        | 74.0%        |
| Margins (% of avg. Assets) | 1.68%        | 1.67%        | 1.67%        | 1.68%        | 1.66%        | 1.63%        | 1.61%        | 1.59%        | 1.51%        | 1.47%        | 1.44%        | 1.42%        |
| Non-IR contribution        | 30.2%        | 30.9%        | 28.4%        | 24.8%        | 32.8%        | 33.0%        | 36.0%        | 28.1%        | 35.8%        | 35.7%        | 35.1%        | 32.9%        |
| Non-IR/Avg. Assets         | 0.72%        | 0.74%        | 0.67%        | 0.56%        | 0.81%        | 0.80%        | 0.91%        | 0.63%        | 0.83%        | 0.81%        | 0.78%        | 0.70%        |
| <b>Revenue/Assets</b>      | <b>2.38%</b> | <b>2.40%</b> | <b>2.35%</b> | <b>2.25%</b> | <b>2.46%</b> | <b>2.43%</b> | <b>2.53%</b> | <b>2.23%</b> | <b>2.32%</b> | <b>2.27%</b> | <b>2.24%</b> | <b>2.13%</b> |
| Cost/Income                | 37.1%        | 38.5%        | 39.1%        | 40.0%        | 37.1%        | 37.8%        | 38.5%        | 45.7%        | 38.7%        | 40.3%        | 40.8%        | 46.0%        |
| C/Assets                   | 0.88%        | 0.92%        | 0.92%        | 0.90%        | 0.91%        | 0.92%        | 0.97%        | 1.02%        | 0.90%        | 0.92%        | 0.91%        | 0.98%        |
| <b>Pre-Provision ROA</b>   | <b>1.50%</b> | <b>1.48%</b> | <b>1.43%</b> | <b>1.35%</b> | <b>1.55%</b> | <b>1.51%</b> | <b>1.56%</b> | <b>1.21%</b> | <b>1.42%</b> | <b>1.36%</b> | <b>1.32%</b> | <b>1.15%</b> |
| LLP/Loans                  | -0.15%       | -0.32%       | -0.25%       | -0.27%       | -0.23%       | -0.07%       | -0.22%       | -0.38%       | -0.26%       | -0.27%       | -0.26%       | -0.27%       |
| Loan/Assets                | 52.3%        | 51.4%        | 51.0%        | 51.1%        | 50.7%        | 50.6%        | 50.7%        | 50.9%        | 50.8%        | 50.7%        | 50.8%        | 50.9%        |
| Other Income/Assets        | 0.17%        | 0.15%        | 0.16%        | 0.12%        | 0.16%        | 0.09%        | 0.16%        | 0.21%        | 0.17%        | 0.17%        | 0.17%        | 0.16%        |
| <b>Operating ROA</b>       | <b>1.42%</b> | <b>1.31%</b> | <b>1.31%</b> | <b>1.21%</b> | <b>1.43%</b> | <b>1.47%</b> | <b>1.45%</b> | <b>1.02%</b> | <b>1.29%</b> | <b>1.22%</b> | <b>1.19%</b> | <b>1.02%</b> |
| Pre-Tax ROA                | 1.59%        | 1.46%        | 1.46%        | 1.33%        | 1.59%        | 1.56%        | 1.61%        | 1.23%        | 1.46%        | 1.39%        | 1.36%        | 1.17%        |
| Tax Rate                   | -15.5%       | -15.0%       | -16.2%       | -11.8%       | -14.7%       | -13.3%       | -14.0%       | -12.5%       | -13.6%       | -15.5%       | -15.5%       | -15.5%       |
| Minorities & Outside Int.  | 0.00%        | -0.05%       | 0.01%        | -0.06%       | -0.01%       | -0.05%       | -0.07%       | 0.02%        | -0.06%       | -0.02%       | -0.02%       | -0.02%       |
| <b>ROA</b>                 | <b>1.32%</b> | <b>1.18%</b> | <b>1.24%</b> | <b>1.11%</b> | <b>1.33%</b> | <b>1.29%</b> | <b>1.30%</b> | <b>1.09%</b> | <b>1.18%</b> | <b>1.14%</b> | <b>1.11%</b> | <b>0.96%</b> |
| <b>RoRWA</b>               | <b>3.21%</b> | <b>2.89%</b> | <b>2.99%</b> | <b>2.67%</b> | <b>3.27%</b> | <b>3.11%</b> | <b>3.27%</b> | <b>2.88%</b> | <b>3.15%</b> | <b>3.02%</b> | <b>2.93%</b> | <b>2.51%</b> |
| Equity/Assets              | 9.19%        | 8.95%        | 8.71%        | 8.90%        | 9.17%        | 9.23%        | 9.26%        | 9.25%        | 9.31%        | 9.47%        | 9.44%        | 9.17%        |
| <b>ROE</b>                 | <b>14.4%</b> | <b>13.2%</b> | <b>14.2%</b> | <b>12.4%</b> | <b>14.5%</b> | <b>14.0%</b> | <b>14.1%</b> | <b>11.8%</b> | <b>12.7%</b> | <b>12.0%</b> | <b>11.8%</b> | <b>10.5%</b> |

Source: Company reports and J.P. Morgan estimates.

## Price Performance



|     | YTD   | 1m    | 3m    | 12m   |
|-----|-------|-------|-------|-------|
| Abs | -2.9% | 1.4%  | -8.5% | 12.5% |
| Rel | -5.4% | -2.9% | -7.4% | -4.7% |

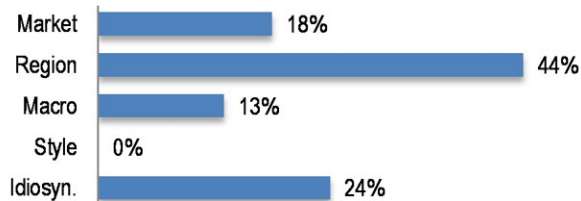
## Company Data

|                             |             |
|-----------------------------|-------------|
| Shares O/S (mn)             | 4,499       |
| 52-week range (\$\$)        | 17.75-13.61 |
| Market cap (\$ mn)          | 56,326      |
| Exchange rate               | 1.29        |
| Free float (%)              | 85.3%       |
| 3M ADV (mn)                 | 8.16        |
| 3M ADV (\$ mn)              | 103.3       |
| Volatility (90 Day)         | 26          |
| Index                       | FTSTI       |
| BBG ANR (Buy   Hold   Sell) | 7 10 1      |

## Key Metrics (FYE Dec)

| \$S in millions            | FY24A   | FY25E   | FY26E   | FY27E   |
|----------------------------|---------|---------|---------|---------|
| <b>Financial Estimates</b> |         |         |         |         |
| Net interest income        | 9,755   | 9,369   | 9,160   | 9,199   |
| Non interest income        | 4,718   | 5,019   | 5,344   | 5,569   |
| Operating expenses         | (5,742) | (5,955) | (6,153) | (6,297) |
| Adj. PPOP                  | 8,731   | 8,433   | 8,350   | 8,471   |
| Provision for loan losses  | (690)   | (865)   | (867)   | (904)   |
| Adj. PBT                   | 8,976   | 8,632   | 8,660   | 8,867   |
| Adj. net income            | 7,519   | 7,059   | 7,072   | 7,238   |
| Adj. EPS                   | 1.67    | 1.58    | 1.60    | 1.66    |
| BBG EPS                    | 1.71    | 1.61    | 1.65    | 1.73    |
| DPS                        | 1.01    | 1.02    | 1.05    | 1.10    |
| Loans                      | 315,096 | 328,232 | 342,011 | 356,400 |
| Deposits                   | 390,687 | 411,803 | 423,855 | 436,303 |
| Total Assets               | 625,050 | 654,733 | 676,164 | 698,389 |
| <b>Margins and Growth</b>  |         |         |         |         |
| NIM                        | -       | -       | -       | -       |
| <b>Ratios</b>              |         |         |         |         |
| Loan/ Deposit ratio        | 80.7%   | 79.7%   | 80.7%   | 81.7%   |
| NPL / Loans                | 0.9%    | 1.0%    | 1.0%    | 1.0%    |
| Coverage                   | 144.0%  | 140.4%  | 137.6%  | 141.5%  |
| CET 1                      | -       | -       | -       | -       |
| Non-int. income/ Income    | 32.6%   | 34.9%   | 36.8%   | 37.7%   |
| Cost/Income                | 39.7%   | 41.4%   | 42.4%   | 42.6%   |
| LLP/Loans                  | (0.2%)  | (0.3%)  | (0.3%)  | (0.3%)  |
| ROA                        | 1.2%    | 1.1%    | 1.1%    | 1.1%    |
| ROE                        | 13.6%   | 12.1%   | 11.9%   | 11.8%   |
| <b>Valuation</b>           |         |         |         |         |
| Dividend yield             | 6.2%    | 6.3%    | 6.5%    | 6.8%    |
| Adj. P/E                   | 9.7     | 10.3    | 10.1    | 9.8     |
| P/ BV                      | 1.27    | 1.22    | 1.18    | 1.13    |

## Performance Drivers



| Factors                      | 6M Corr | 1Y Corr |
|------------------------------|---------|---------|
| Market: MSCI Asia Pac ex JP  | 0.63    | 0.44    |
| Region: Singapore            | 0.73    | 0.78    |
| <b>Macro:</b>                |         |         |
| HSI Volatility Index         | -0.60   | -0.58   |
| JPM China A-shares Sentiment | -0.14   | -0.32   |
| Citi Economic Surprise - EM  | 0.32    | 0.26    |
| <b>Quant Styles:</b>         |         |         |
| Growth                       | 0.22    | 0.31    |
| Momentum                     | 0.09    | 0.29    |
| DivYld                       | -0.05   | -0.13   |



## OCBC Bank: Summary of Financials

| Income Statement                |               |               |               |               |               | Balance Sheet                                   |                |                |                |                |                |
|---------------------------------|---------------|---------------|---------------|---------------|---------------|-------------------------------------------------|----------------|----------------|----------------|----------------|----------------|
|                                 | FY23A         | FY24A         | FY25E         | FY26E         | FY27E         |                                                 | FY23A          | FY24A          | FY25E          | FY26E          | FY27E          |
| Interest income                 | 20,867        | 22,444        | 21,813        | 21,198        | 20,880        | Cash and cash equivalents                       | 0              | 0              | 0              | 0              | 0              |
| Interest expense                | (11,222)      | (12,689)      | (12,444)      | (12,038)      | (11,680)      | Deposits with banks                             | 72,337         | 77,006         | 81,015         | 80,190         | 79,244         |
| <b>Net interest income</b>      | <b>9,645</b>  | <b>9,755</b>  | <b>9,369</b>  | <b>9,160</b>  | <b>9,199</b>  | Net loans                                       | 292,754        | 315,096        | 328,232        | 342,011        | 356,400        |
| Non interest income             | 3,862         | 4,718         | 5,019         | 5,344         | 5,569         | PP&E                                            | 3,528          | 3,725          | 3,800          | 3,989          | 4,189          |
| o/w Fee income                  | 1,804         | 1,970         | 2,147         | 2,276         | 2,367         | Net intangibles                                 | 4,501          | 4,504          | 4,507          | 4,510          | 4,513          |
| o/w Trading income              | 1,250         | 1,831         | 1,771         | 1,923         | 2,000         | LT investments                                  | 102,200        | 113,454        | 120,261        | 123,869        | 127,585        |
| <b>Net revenues</b>             | <b>13,507</b> | <b>14,473</b> | <b>14,387</b> | <b>14,504</b> | <b>14,768</b> | Other assets                                    | 106,104        | 111,265        | 116,918        | 121,595        | 126,458        |
| Non interest expense            | (5,223)       | (5,742)       | (5,955)       | (6,153)       | (6,297)       | <b>Total assets</b>                             | <b>581,424</b> | <b>625,050</b> | <b>654,733</b> | <b>676,164</b> | <b>698,389</b> |
| o/w Employee costs              | 0             | 0             | 0             | 0             | 0             | Interest earning assets                         | 451,211        | 484,270        | 507,184        | 523,307        | 540,019        |
| <b>Pre-Prov. Profits</b>        | <b>8,284</b>  | <b>8,731</b>  | <b>8,433</b>  | <b>8,350</b>  | <b>8,471</b>  | Deposits                                        | 363,770        | 390,687        | 411,803        | 423,855        | 436,303        |
| Provisions                      | (733)         | (690)         | (865)         | (867)         | (904)         | Borrowings                                      | 26,553         | 31,553         | 33,131         | 34,787         | 36,527         |
| <b>Adj. PBT</b>                 | <b>8,401</b>  | <b>8,976</b>  | <b>8,632</b>  | <b>8,660</b>  | <b>8,867</b>  | Other liabilities                               | 136,797        | 144,130        | 149,904        | 156,120        | 162,599        |
| Income taxes                    | (1,236)       | (1,228)       | (1,295)       | (1,299)       | (1,330)       | <b>Total liabilities</b>                        | <b>527,120</b> | <b>566,370</b> | <b>594,838</b> | <b>614,762</b> | <b>635,428</b> |
| Minority interest               | (144)         | (161)         | (209)         | (220)         | (231)         | Shareholder equity                              | 52,920         | 57,616         | 58,831         | 60,338         | 61,897         |
| <b>Adj. Net profit</b>          | <b>6,986</b>  | <b>7,519</b>  | <b>7,059</b>  | <b>7,072</b>  | <b>7,238</b>  | Minority interests                              | 1,384          | 1,064          | 1,064          | 1,064          | 1,064          |
| PPOP per share                  | 1.84          | 1.94          | 1.88          | 1.89          | 1.94          | <b>Total liabilities and Shareholder equity</b> | <b>581,424</b> | <b>625,050</b> | <b>654,733</b> | <b>676,164</b> | <b>698,389</b> |
| Reported EPS                    | 1.55          | 1.67          | 1.58          | 1.60          | 1.66          | Interest bearing liabilities                    | 401,207        | 433,805        | 456,962        | 471,151        | 485,838        |
| <b>Adj. EPS</b>                 | <b>1.55</b>   | <b>1.67</b>   | <b>1.58</b>   | <b>1.60</b>   | <b>1.66</b>   | Book Value Per Share                            | 11.78          | 12.80          | 13.25          | 13.77          | 14.32          |
| <b>DPS</b>                      | <b>0.82</b>   | <b>1.01</b>   | <b>1.02</b>   | <b>1.05</b>   | <b>1.10</b>   | Tangible Book Value Per Share                   | 11.47          | 12.57          | 13.01          | 13.53          | 14.07          |
| Diluted shares outstanding      | 4,507         | 4,502         | 4,476         | 4,417         | 4,358         |                                                 |                |                |                |                |                |
| Balance Sheet Gearing           |               |               |               |               |               | Asset Quality/Capital                           |                |                |                |                |                |
|                                 | FY23A         | FY24A         | FY25E         | FY26E         | FY27E         |                                                 | FY23A          | FY24A          | FY25E          | FY26E          | FY27E          |
| Loans/Deposits                  | 80.5%         | 80.7%         | 79.7%         | 80.7%         | 81.7%         | Loan loss reserves/Loans                        | (1.3%)         | (1.3%)         | (1.4%)         | (1.4%)         | (1.5%)         |
| Investment/Assets               | 16.8%         | 17.9%         | 18.3%         | 18.3%         | 18.3%         | NPLs/Loans                                      | 0.9%           | 0.9%           | 1.0%           | 1.0%           | 1.0%           |
| Loan/Assets                     | 51.8%         | 51.0%         | 50.9%         | 51.1%         | 51.6%         | Loan loss reserves/NPLs                         | 119.8%         | 141.5%         | 142.1%         | 139.0%         | 139.6%         |
| Customer deposits/Liabilities   | 69.0%         | 69.0%         | 69.2%         | 68.9%         | 68.7%         | NPL y/y growth                                  | (17.1%)        | 0.8%           | 14.7%          | 10.3%          | 4.9%           |
| LT debt/Liabilities             | 4.7%          | 5.3%          | 5.6%          | 5.6%          | 5.7%          | Tier 1 ratio                                    | 16.5%          | 17.8%          | 16.8%          | 16.0%          | 15.3%          |
| Ratio Analysis (%)              |               |               |               |               |               |                                                 |                |                |                |                |                |
|                                 | FY23A         | FY24A         | FY25E         | FY26E         | FY27E         |                                                 | FY23A          | FY24A          | FY25E          | FY26E          | FY27E          |
| Net interest margin             |               |               | -             | -             | -             | CAR                                             | -              | -              | -              | -              | -              |
| Non interest income/Net revenue | 28.6%         | 32.6%         | 34.9%         | 36.8%         | 37.7%         | Return on equity (ROE)                          | 13.4%          | 13.6%          | 12.1%          | 11.9%          | 11.8%          |
| Non interest income/Avg. Assets | 0.7%          | 0.8%          | 0.8%          | 0.8%          | 0.8%          | Return on assets (ROA)                          | 1.2%           | 1.2%           | 1.1%           | 1.1%           | 1.1%           |
| Efficiency ratio                | 38.7%         | 39.7%         | 41.4%         | 42.4%         | 42.6%         | Operating ROA                                   | 1.3%           | 1.3%           | 1.2%           | 1.1%           | 1.1%           |
| Leverage ratio                  | 6.8%          | 7.0%          | 6.6%          | 6.4%          | 6.3%          | Pre-Tax ROA                                     | 1.5%           | 1.5%           | 1.3%           | 1.3%           | 1.3%           |
| Revenue/Assets                  | 2.4%          | 2.4%          | 2.2%          | 2.2%          | 2.1%          | Pre-Provision ROA                               | 1.5%           | 1.4%           | 1.3%           | 1.3%           | 1.2%           |
| RORWA                           | 3.0%          | 3.2%          | 2.9%          | 2.7%          | 2.6%          | Tax rate                                        | 14.7%          | 13.7%          | 15.0%          | 15.0%          | 15.0%          |
| RWA                             | 236,694       | 236,288       | 252,072       | 267,085       | 282,848       | Net loans y/y growth                            | 0.4%           | 7.6%           | 4.2%           | 4.2%           | 4.2%           |
| Avg. RWA                        | 234,171       | 236,491       | 244,180       | 259,579       | 274,966       | Assets y/y growth                               | 3.8%           | 7.5%           | 4.7%           | 3.3%           | 3.3%           |
| Avg. IEA                        | 423,065       | 443,419       | 469,950       | 488,454       | 504,018       | RWA y/y growth                                  | 2.2%           | (0.2%)         | 6.7%           | 6.0%           | 5.9%           |
| Gross Loans                     | 296,653       | 319,166       | 332,784       | 346,931       | 361,704       | Deposits y/y growth                             | 3.9%           | 7.4%           | 5.4%           | 2.9%           | 2.9%           |
| Avg. IBL                        | 395,876       | 414,257       | 441,917       | 460,445       | 474,771       | Net interest income y/y growth                  | 25.5%          | 1.1%           | (4.0%)         | (2.2%)         | 0.4%           |
| LLR                             | (3,899)       | (4,070)       | (4,552)       | (4,920)       | (5,304)       | Revenues y/y growth                             | 15.7%          | 7.2%           | (0.6%)         | 0.8%           | 1.8%           |
| NPLs                            | 2,805         | 2,827         | 3,242         | 3,575         | 3,748         | Adj. EPS y/y growth                             | 22.0%          | 7.7%           | (5.6%)         | 1.5%           | 3.7%           |
| P/BV (x)                        | 1.38          | 1.27          | 1.22          | 1.18          | 1.13          | BVPS y/y growth                                 | 3.0%           | 8.7%           | 3.5%           | 3.9%           | 4.0%           |
| Adj. P/E (x)                    | 10.5          | 9.7           | 10.3          | 10.1          | 9.8           | IE assets/Assets                                | 74.1%          | 73.5%          | 73.4%          | 73.4%          | 73.3%          |
| Dividend yield                  | 5.1%          | 6.2%          | 6.3%          | 6.5%          | 6.8%          | Margins (as % of Avg. Assets)                   | 1.6%           | 1.5%           | 1.4%           | 1.3%           | 1.3%           |
| Dividend payout                 | 52.9%         | 60.5%         | 64.7%         | 65.6%         | 66.2%         | LLP/Loans                                       | (0.2%)         | (0.2%)         | (0.3%)         | (0.3%)         | (0.3%)         |
|                                 |               |               |               |               |               | Equity/Assets                                   | 9.1%           | 9.2%           | 9.1%           | 9.0%           | 8.9%           |
|                                 |               |               |               |               |               | Cost/Assets                                     | 0.9%           | 1.0%           | 0.9%           | 0.9%           | 0.9%           |
|                                 |               |               |               |               |               | Assets/Equity                                   | 10.9           | 10.9           | 11.0           | 11.2           | 11.2           |

Source: Company reports and J.P. Morgan estimates.

Note: \$S in millions (except per-share data). Fiscal year ends Dec

## Neutral

### UOBH.SI, UOB SP

Price (20 May 25): S\$35.40

▼ **Price Target (Jun-26): S\$37.00**

Prior (Dec-25): S\$40.00

### APAC Banks

#### Harsh Wardhan Modi <sup>AC</sup>

(65) 6882-2450

harsh.w.modi@jpmorgan.com

J.P. Morgan Securities Singapore Private Limited/  
J.P. Morgan Securities (Asia Pacific) Limited/ J.P.  
Morgan Broking (Hong Kong) Limited

### Key Changes (FYE Dec)

|                       | Prev | Cur  |
|-----------------------|------|------|
| Adj. EPS - 25E (\$\$) | 3.74 | 3.58 |
| Adj. EPS - 26E (\$\$) | 4.00 | 3.74 |

### Quarterly Forecasts (FYE Dec)

| Adj. EPS (\$\$) | 2024A | 2025E | 2026E |
|-----------------|-------|-------|-------|
| Q1              | 0.87  | 0.88A |       |
| Q2              | 0.84  | 0.91  |       |
| Q3              | 0.95  | 0.88  |       |
| Q4              | 0.90  | 0.91  |       |
| FY              | 3.56  | 3.58  | 3.74  |

### Style Exposure

| Quant Factors | Current %Rank | Hist %Rank (1=Top) |    |    |    |
|---------------|---------------|--------------------|----|----|----|
|               |               | 6M                 | 1Y | 3Y | 5Y |
| Value         | 1             | 1                  | 1  | 4  | 7  |
| Growth        | 22            | 26                 | 35 | 10 | 76 |
| Momentum      | 63            | 13                 | 22 | 26 | 91 |
| Quality       | 16            | 16                 | 19 | 7  | 26 |
| Low Vol       | 22            | 10                 | 7  | 22 | 4  |
| ESGQ          | 85            | 85                 | 11 | 8  | 11 |

## United Overseas Bank (UOB)

### Steady, with scope to optimize

The bank has one of the least volatile returns over the last 20Y, which underpins our investment thesis for the stock. The bank is in the process of improving leverage, with higher regular dividend, buyback as well as special dividends. We expect the bank to use leverage to improve RoE, but the management target of 14% would be quite tough.

The NIM outlook for UOB, as for the sector, is tough with rates coming off across markets. The extent of change in SGD rates (SORA) vs. USD rates (Fed rates as well as SOFR) has shifted meaningfully from last decade's regressions, partly due to the sharp sell-off in USD. 70bps YTD decline in SORA is leading to 9/8bps NIM decline in 2025/26E. Volume growth can be a partial offset to NII, yet the extent of economic uncertainty makes it tougher for balance sheet growth. Hence, we expect 1-3% negative revisions for the stock in 2025-27E.

Asset quality for the bank is holding up, which we expect to sustain. Yet, LLR/loans for the bank at 1.16% is lower than peers, and is a potential driver for higher provisions this year. Hence, any PPoP decline may not be offset by provisions, limiting RoA.

Table 19: UOB: Valuation

|                      | Net Inc<br>(S\$ mn) | EPS<br>(S\$)             | P/E<br>(x) | BVPS<br>(S\$) | P/B<br>(x) | Dividend<br>(S\$) | Div Yld<br>(%)              | RoA<br>(%) | RoRWA<br>(%) | RoE<br>(%) |          |
|----------------------|---------------------|--------------------------|------------|---------------|------------|-------------------|-----------------------------|------------|--------------|------------|----------|
| 2020                 | 2,825               | 1.69                     | 20.9       | 23.0          | 1.54       | 0.78              | 2.2%                        | 0.68%      | 1.25%        | 7.5%       |          |
| 2021                 | 4,003               | 2.39                     | 14.8       | 24.1          | 1.47       | 1.20              | 3.4%                        | 0.90%      | 1.65%        | 10.2%      |          |
| 2022                 | 4,485               | 2.68                     | 13.2       | 24.2          | 1.46       | 1.35              | 3.8%                        | 0.98%      | 1.73%        | 11.7%      |          |
| 2023                 | 5,615               | 3.36                     | 10.6       | 26.0          | 1.36       | 1.70              | 4.8%                        | 1.16%      | 2.10%        | 14.2%      |          |
| 2024                 | 5,946               | 3.56                     | 10.0       | 28.1          | 1.26       | 2.05              | 5.8%                        | 1.16%      | 2.22%        | 13.6%      |          |
| 2025E                | 5,954               | 3.58                     | 9.9        | 29.2          | 1.21       | 2.04              | 5.8%                        | 1.09%      | 2.21%        | 12.5%      |          |
| 2026E                | 6,145               | 3.74                     | 9.5        | 30.8          | 1.15       | 2.20              | 6.2%                        | 1.08%      | 2.15%        | 12.5%      |          |
| 2027E                | 6,407               | 3.95                     | 9.0        | 32.4          | 1.09       | 2.40              | 6.8%                        | 1.07%      | 2.12%        | 12.5%      |          |
|                      |                     |                          |            |               |            |                   |                             |            |              |            |          |
| Price (S\$)          | 35.40               | Number of shares (mn)    |            |               |            | 1,672             | Market Cap (S\$ mn)         |            |              | 59,204     |          |
| Normalised RoE       |                     | PB based Valuation       |            |               |            |                   | PE based Valuation          |            |              |            |          |
| NIM (on avg. assets) | 1.69%               | Risk-free rate           |            |               |            | 4.50%             | Fair PE                     |            |              |            | 9.81x    |
| Non-IR/revenues      | 34.1%               | Cost of capital          |            |               |            | 10.3%             | 12m Rolling EPS             |            |              |            | S\$3.65  |
| Cost/income          | 42.7%               | Long term growth         |            |               |            | 0.50%             | PE based 12M Fwd Fair Value |            |              |            | S\$35.7  |
| Operating RoA        | 1.47%               | Fair PB                  |            |               |            | 1.18x             | Implied Value of Growth     |            |              |            |          |
| LLP/Loans            | -0.35%              | PV of Terminal Value     |            |               |            | S\$31.9           | 12m Rolling EPS             |            |              |            | S\$3.65  |
| Net RoAA             | 1.04%               | PV of Dividends          |            |               |            | S\$1.9            | Capitalized Value (S\$)     |            |              |            | S\$35.48 |
| Equity/Assets        | 8.6%                | PV of today's Fair Value |            |               |            | S\$33.9           | Value of Growth (S\$)       |            |              |            | -\$0.08  |
| Normalised RoE       | 12.0%               | PV of Jun-26E fair value |            |               |            | S\$37.3           | Attributable to Growth      |            |              |            | -0.2%    |

Source: J.P. Morgan estimates, Bloomberg Finance L.P.

Sources for: Style Exposure – J.P. Morgan Quantitative and Derivatives Strategy; all other tables are company data and J.P. Morgan estimates.

## Annual forecasts

Table 20: UOB: Annual P&L

| S\$ in million              | 2015         | 2016         | 2017         | 2018         | 2019          | 2020         | 2021         | 2022          | 2023          | 2024          | 2025E         | 2026E         | 2027E         |
|-----------------------------|--------------|--------------|--------------|--------------|---------------|--------------|--------------|---------------|---------------|---------------|---------------|---------------|---------------|
| Interest Income             | 7,826        | 8,291        | 9,077        | 11,141       | 12,557        | 9,623        | 8,204        | 12,862        | 22,242        | 23,259        | 22,426        | 21,834        | 21,726        |
| Interest Expense            | (2,900)      | (3,300)      | (3,548)      | (4,921)      | (5,994)       | (3,587)      | (1,816)      | (4,519)       | (12,563)      | (13,585)      | (12,824)      | (12,257)      | (11,943)      |
| <b>Net Interest Income</b>  | <b>4,926</b> | <b>4,991</b> | <b>5,528</b> | <b>6,220</b> | <b>6,563</b>  | <b>6,036</b> | <b>6,388</b> | <b>8,343</b>  | <b>9,679</b>  | <b>9,674</b>  | <b>9,601</b>  | <b>9,576</b>  | <b>9,784</b>  |
| <b>Non-Interest Income</b>  | <b>3,122</b> | <b>3,071</b> | <b>3,323</b> | <b>2,896</b> | <b>3,467</b>  | <b>3,141</b> | <b>3,401</b> | <b>3,232</b>  | <b>4,253</b>  | <b>4,620</b>  | <b>4,852</b>  | <b>5,134</b>  | <b>5,434</b>  |
| Net Fee income              | 1,883        | 1,931        | 2,161        | 1,966        | 2,032         | 1,997        | 2,412        | 2,143         | 2,235         | 2,395         | 2,682         | 2,843         | 3,014         |
| Trading income              | 954          | 877          | 902          | 648          | 1,116         | 880          | 730          | 829           | 1,690         | 2,003         | 1,903         | 1,998         | 2,098         |
| Other operating income      | 285          | 263          | 260          | 282          | 319           | 264          | 259          | 260           | 328           | 222           | 266           | 293           | 322           |
| <b>Total Revenues</b>       | <b>8,048</b> | <b>8,061</b> | <b>8,851</b> | <b>9,116</b> | <b>10,030</b> | <b>9,177</b> | <b>9,789</b> | <b>11,575</b> | <b>13,932</b> | <b>14,294</b> | <b>14,453</b> | <b>14,711</b> | <b>15,218</b> |
| Costs                       | (3,530)      | (3,696)      | (4,027)      | (4,003)      | (4,472)       | (4,184)      | (4,313)      | (5,016)       | (5,777)       | (6,074)       | (6,147)       | (6,244)       | (6,369)       |
| <b>PPOP</b>                 | <b>4,518</b> | <b>4,365</b> | <b>4,824</b> | <b>5,113</b> | <b>5,558</b>  | <b>4,992</b> | <b>5,476</b> | <b>6,559</b>  | <b>8,155</b>  | <b>8,220</b>  | <b>8,306</b>  | <b>8,466</b>  | <b>8,848</b>  |
| Loan loss provisions        | (588)        | (571)        | (660)        | (395)        | (450)         | (1,595)      | (629)        | (627)         | (784)         | (873)         | (1,161)       | (1,106)       | (1,179)       |
| Other provisions            | (84)         | (23)         | (67)         | 2            | 15            | 42           | (28)         | 21            | (161)         | (81)          | (7)           | -             | -             |
| Other income                | 90           | 6            | 110          | 106          | 51            | 98           | 118          | 97            | 93            | 121           | 127           | 133           | 140           |
| <b>Pre-Tax</b>              | <b>3,936</b> | <b>3,777</b> | <b>4,207</b> | <b>4,826</b> | <b>5,174</b>  | <b>3,536</b> | <b>4,937</b> | <b>6,050</b>  | <b>7,303</b>  | <b>7,387</b>  | <b>7,265</b>  | <b>7,494</b>  | <b>7,809</b>  |
| Tax                         | (649)        | (669)        | (800)        | (805)        | (813)         | (606)        | (850)        | (1,221)       | (1,228)       | (1,140)       | (1,199)       | (1,237)       | (1,289)       |
| MI & EO                     | (11)         | (12)         | (16)         | (13)         | (18)          | (15)         | (12)         | (10)          | (14)          | (14)          | (14)          | (14)          | (15)          |
| <b>Core Profit</b>          | <b>3,276</b> | <b>3,096</b> | <b>3,390</b> | <b>4,008</b> | <b>4,343</b>  | <b>2,915</b> | <b>4,075</b> | <b>4,819</b>  | <b>6,061</b>  | <b>6,233</b>  | <b>6,052</b>  | <b>6,243</b>  | <b>6,506</b>  |
| <b>Attributable profits</b> | <b>3,170</b> | <b>3,012</b> | <b>3,288</b> | <b>3,898</b> | <b>4,249</b>  | <b>2,825</b> | <b>4,003</b> | <b>4,731</b>  | <b>5,965</b>  | <b>6,134</b>  | <b>5,954</b>  | <b>6,145</b>  | <b>6,407</b>  |

Source: Company reports and J.P. Morgan estimates.

Table 21: UOB: Annual DuPont

|                            | 2015         | 2016         | 2017         | 2018         | 2019         | 2020         | 2021         | 2022         | 2023         | 2024         | 2025E        | 2026E        | 2027E        |
|----------------------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|
| <b>NIM (% of avg. IEA)</b> | <b>1.77%</b> | <b>1.71%</b> | <b>1.77%</b> | <b>1.82%</b> | <b>1.78%</b> | <b>1.57%</b> | <b>1.56%</b> | <b>1.86%</b> | <b>2.09%</b> | <b>2.03%</b> | <b>1.94%</b> | <b>1.86%</b> | <b>1.81%</b> |
| IEA/Assets                 | 89.3%        | 89.0%        | 89.4%        | 91.6%        | 93.0%        | 91.9%        | 92.0%        | 93.1%        | 90.1%        | 89.8%        | 90.2%        | 90.3%        | 90.4%        |
| Margins (% of avg. Assets) | 1.58%        | 1.52%        | 1.58%        | 1.67%        | 1.66%        | 1.44%        | 1.43%        | 1.73%        | 1.88%        | 1.82%        | 1.75%        | 1.68%        | 1.64%        |
| Non-IR contribution        | 38.8%        | 38.1%        | 37.5%        | 31.8%        | 34.6%        | 34.2%        | 34.7%        | 27.9%        | 30.5%        | 32.3%        | 33.6%        | 34.9%        | 35.7%        |
| Non-IR/Avg. Assets         | 1.00%        | 0.94%        | 0.95%        | 0.78%        | 0.87%        | 0.75%        | 0.76%        | 0.67%        | 0.83%        | 0.87%        | 0.89%        | 0.90%        | 0.91%        |
| Revenue/Assets             | 2.58%        | 2.46%        | 2.53%        | 2.44%        | 2.53%        | 2.19%        | 2.20%        | 2.40%        | 2.71%        | 2.69%        | 2.64%        | 2.58%        | 2.54%        |
| Cost/Income                | 43.9%        | 45.9%        | 45.5%        | 43.9%        | 44.6%        | 45.6%        | 44.1%        | 43.3%        | 41.5%        | 42.5%        | 42.5%        | 42.4%        | 41.9%        |
| C/Assets                   | 1.13%        | 1.13%        | 1.15%        | 1.07%        | 1.13%        | 1.00%        | 0.97%        | 1.04%        | 1.12%        | 1.14%        | 1.12%        | 1.10%        | 1.07%        |
| <b>Pre-Provision ROA</b>   | <b>1.45%</b> | <b>1.33%</b> | <b>1.38%</b> | <b>1.37%</b> | <b>1.40%</b> | <b>1.19%</b> | <b>1.23%</b> | <b>1.36%</b> | <b>1.59%</b> | <b>1.55%</b> | <b>1.52%</b> | <b>1.49%</b> | <b>1.48%</b> |
| LLP/Loans                  | -0.3%        | -0.3%        | -0.29%       | -0.16%       | -0.17%       | -0.58%       | -0.21%       | -0.20%       | -0.24%       | -0.26%       | -0.34%       | -0.31%       | -0.31%       |
| Loan/Assets                | 65.3%        | 66.0%        | 66.1%        | 66.7%        | 66.9%        | 65.8%        | 66.5%        | 65.4%        | 62.3%        | 62.1%        | 63.0%        | 63.2%        | 63.7%        |
| Other Income/Assets        | 0.00%        | -0.01%       | 0.01%        | 0.03%        | 0.02%        | 0.03%        | 0.02%        | 0.02%        | -0.01%       | 0.01%        | 0.02%        | 0.02%        | 0.02%        |
| <b>Operating ROA</b>       | <b>1.26%</b> | <b>1.16%</b> | <b>1.19%</b> | <b>1.26%</b> | <b>1.29%</b> | <b>0.81%</b> | <b>1.09%</b> | <b>1.23%</b> | <b>1.43%</b> | <b>1.38%</b> | <b>1.30%</b> | <b>1.29%</b> | <b>1.28%</b> |
| Pre-Tax ROA                | 1.26%        | 1.15%        | 1.20%        | 1.29%        | 1.31%        | 0.85%        | 1.11%        | 1.26%        | 1.42%        | 1.39%        | 1.33%        | 1.31%        | 1.31%        |
| Tax Rate                   | -16.5%       | -17.7%       | -19.0%       | -16.7%       | -15.7%       | -17.1%       | -17.2%       | -20.2%       | -16.8%       | -15.4%       | -16.5%       | -16.5%       | -16.5%       |
| Minorities & Outside Int.  | 0.00%        | 0.00%        | 0.00%        | 0.00%        | 0.00%        | 0.00%        | 0.00%        | 0.00%        | 0.00%        | 0.00%        | 0.00%        | 0.00%        | 0.00%        |
| <b>Core ROA</b>            | <b>1.02%</b> | <b>0.92%</b> | <b>0.94%</b> | <b>1.04%</b> | <b>1.07%</b> | <b>0.68%</b> | <b>0.90%</b> | <b>0.98%</b> | <b>1.16%</b> | <b>1.16%</b> | <b>1.09%</b> | <b>1.08%</b> | <b>1.07%</b> |
| <b>ROA</b>                 | <b>1.00%</b> | <b>0.92%</b> | <b>0.94%</b> | <b>1.04%</b> | <b>1.07%</b> | <b>0.68%</b> | <b>0.90%</b> | <b>0.93%</b> | <b>1.09%</b> | <b>1.12%</b> | <b>1.09%</b> | <b>1.08%</b> | <b>1.07%</b> |
| <b>RoRWA</b>               | <b>1.64%</b> | <b>1.45%</b> | <b>1.58%</b> | <b>1.86%</b> | <b>1.90%</b> | <b>1.25%</b> | <b>1.65%</b> | <b>1.73%</b> | <b>2.10%</b> | <b>2.22%</b> | <b>2.21%</b> | <b>2.15%</b> | <b>2.12%</b> |
| Equity/Assets              | 8.99%        | 9.05%        | 9.25%        | 9.29%        | 9.18%        | 9.06%        | 8.84%        | 8.39%        | 8.18%        | 8.52%        | 8.70%        | 8.64%        | 8.56%        |
| <b>Core ROE</b>            | <b>11.3%</b> | <b>10.1%</b> | <b>10.2%</b> | <b>11.2%</b> | <b>11.7%</b> | <b>7.5%</b>  | <b>10.2%</b> | <b>11.7%</b> | <b>14.2%</b> | <b>13.6%</b> | <b>12.5%</b> | <b>12.5%</b> | <b>12.5%</b> |
| <b>ROE</b>                 | <b>11.1%</b> | <b>10.1%</b> | <b>10.2%</b> | <b>11.2%</b> | <b>11.7%</b> | <b>7.5%</b>  | <b>10.2%</b> | <b>11.1%</b> | <b>13.4%</b> | <b>13.1%</b> | <b>12.5%</b> | <b>12.5%</b> | <b>12.5%</b> |

Source: Company reports and J.P. Morgan estimates.

## Quarterly forecasts

Table 22: UOB: Quarterly P&L

| S\$ in million             | 1Q23         | 2Q23         | 3Q23         | 4Q23         | 1Q24         | 2Q24         | 3Q24         | 4Q24         | 1Q25         | 2Q25E        | 3Q25E        | 4Q25E        |
|----------------------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|
| Interest Income            | 5,152        | 5,451        | 5,692        | 5,947        | 5,855        | 5,706        | 5,791        | 5,907        | 5,710        | 5,623        | 5,572        | 5,521        |
| Interest Expense           | (2,743)      | (3,014)      | (3,263)      | (3,543)      | (3,493)      | (3,305)      | (3,331)      | (3,456)      | (3,301)      | (3,243)      | (3,170)      | (3,110)      |
| <b>Net Interest Income</b> | <b>2,409</b> | <b>2,437</b> | <b>2,429</b> | <b>2,404</b> | <b>2,362</b> | <b>2,401</b> | <b>2,460</b> | <b>2,451</b> | <b>2,409</b> | <b>2,380</b> | <b>2,401</b> | <b>2,411</b> |
| <b>Non-Interest Income</b> | <b>1,115</b> | <b>1,104</b> | <b>1,027</b> | <b>1,007</b> | <b>1,161</b> | <b>1,075</b> | <b>1,374</b> | <b>1,010</b> | <b>1,248</b> | <b>1,289</b> | <b>1,196</b> | <b>1,119</b> |
| Net Fee income             | 552          | 524          | 591          | 568          | 580          | 618          | 630          | 567          | 694          | 715          | 672          | 602          |
| Trading income             | 474          | 478          | 375          | 363          | 521          | 406          | 709          | 367          | 466          | 513          | 461          | 463          |
| Other operating income     | 89           | 102          | 61           | 76           | 60           | 51           | 35           | 76           | 88           | 62           | 63           | 54           |
| <b>Total Revenues</b>      | <b>3,524</b> | <b>3,541</b> | <b>3,456</b> | <b>3,411</b> | <b>3,523</b> | <b>3,476</b> | <b>3,834</b> | <b>3,461</b> | <b>3,657</b> | <b>3,669</b> | <b>3,597</b> | <b>3,530</b> |
| Costs                      | (1,440)      | (1,448)      | (1,416)      | (1,473)      | (1,475)      | (1,452)      | (1,590)      | (1,558)      | (1,559)      | (1,535)      | (1,535)      | (1,518)      |
| <b>PPOP</b>                | <b>2,084</b> | <b>2,093</b> | <b>2,040</b> | <b>1,938</b> | <b>2,048</b> | <b>2,024</b> | <b>2,244</b> | <b>1,903</b> | <b>2,097</b> | <b>2,134</b> | <b>2,062</b> | <b>2,012</b> |
| Loan loss provisions       | (192)        | (238)        | (151)        | (203)        | (186)        | (194)        | (281)        | (212)        | (290)        | (277)        | (280)        | (315)        |
| Other provisions           | 18           | (132)        | (91)         | 44           | 16           | (44)         | (30)         | (23)         | (7)          | 0            | 0            | 0            |
| Other income               | 25           | 26           | 20           | 22           | 26           | 30           | 25           | 40           | 22           | 29           | 37           | 39           |
| <b>Pre-Tax</b>             | <b>1,935</b> | <b>1,749</b> | <b>1,818</b> | <b>1,801</b> | <b>1,904</b> | <b>1,816</b> | <b>1,958</b> | <b>1,708</b> | <b>1,822</b> | <b>1,886</b> | <b>1,820</b> | <b>1,737</b> |
| Tax                        | (345)        | (208)        | (305)        | (370)        | (317)        | (307)        | (299)        | (219)        | (310)        | (321)        | (309)        | (258)        |
| MI & EO                    | (13)         | (34)         | (34)         | 67           | (22)         | (22)         | (22)         | 51           | (22)         | (23)         | (22)         | 53           |
| <b>Core Profit</b>         | <b>1,577</b> | <b>1,507</b> | <b>1,479</b> | <b>1,498</b> | <b>1,566</b> | <b>1,488</b> | <b>1,638</b> | <b>1,540</b> | <b>1,490</b> | <b>1,542</b> | <b>1,488</b> | <b>1,531</b> |
| <b>Attributable profit</b> | <b>1,510</b> | <b>1,415</b> | <b>1,382</b> | <b>1,404</b> | <b>1,487</b> | <b>1,424</b> | <b>1,610</b> | <b>1,523</b> | <b>1,490</b> | <b>1,542</b> | <b>1,488</b> | <b>1,531</b> |

Source: Company reports and J.P. Morgan estimates.

Table 23: UOB: Quarterly DuPont

|                            | 1Q23         | 2Q23         | 3Q23         | 4Q23         | 1Q24         | 2Q24         | 3Q24         | 4Q24         | 1Q25         | 2Q25E        | 3Q25E        | 4Q25E        |
|----------------------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|
| <b>NIM (% of avg. IEA)</b> | <b>2.14%</b> | <b>2.12%</b> | <b>2.09%</b> | <b>2.02%</b> | <b>2.02%</b> | <b>2.05%</b> | <b>2.05%</b> | <b>2.00%</b> | <b>2.00%</b> | <b>1.96%</b> | <b>1.93%</b> | <b>1.92%</b> |
| IEA/Assets                 | 90.7%        | 91.5%        | 90.3%        | 90.9%        | 90.5%        | 91.3%        | 90.2%        | 90.3%        | 89.8%        | 89.9%        | 89.7%        | 89.6%        |
| Margins (% of avg. Assets) | 1.94%        | 1.94%        | 1.89%        | 1.84%        | 1.83%        | 1.87%        | 1.85%        | 1.81%        | 1.80%        | 1.76%        | 1.73%        | 1.72%        |
| <b>Non-IR contribution</b> | <b>31.6%</b> | <b>31.2%</b> | <b>29.7%</b> | <b>29.5%</b> | <b>33.0%</b> | <b>30.9%</b> | <b>35.8%</b> | <b>29.2%</b> | <b>34.1%</b> | <b>35.1%</b> | <b>33.3%</b> | <b>31.7%</b> |
| Non-IR/Avg. Assets         | 0.89%        | 0.88%        | 0.80%        | 0.78%        | 0.89%        | 0.83%        | 1.04%        | 0.75%        | 0.93%        | 0.95%        | 0.87%        | 0.81%        |
| Revenue/Assets             | 2.80%        | 2.81%        | 2.71%        | 2.63%        | 2.71%        | 2.69%        | 2.90%        | 2.56%        | 2.72%        | 2.71%        | 2.62%        | 2.54%        |
| Cost/Income                | 40.9%        | 40.9%        | 41.0%        | 43.2%        | 41.9%        | 41.8%        | 41.5%        | 45.0%        | 42.6%        | 41.8%        | 42.7%        | 43.0%        |
| C/Assets                   | 1.14%        | 1.15%        | 1.11%        | 1.13%        | 1.14%        | 1.13%        | 1.20%        | 1.15%        | 1.16%        | 1.13%        | 1.12%        | 1.09%        |
| <b>Pre-Provision ROA</b>   | <b>1.66%</b> | <b>1.66%</b> | <b>1.60%</b> | <b>1.49%</b> | <b>1.58%</b> | <b>1.57%</b> | <b>1.70%</b> | <b>1.41%</b> | <b>1.56%</b> | <b>1.57%</b> | <b>1.50%</b> | <b>1.45%</b> |
| LLP/Loans                  | -0.24%       | -0.30%       | -0.19%       | -0.25%       | -0.23%       | -0.24%       | -0.34%       | -0.25%       | -0.34%       | -0.32%       | -0.32%       | -0.36%       |
| Loan/Assets                | 63.2%        | 63.0%        | 62.4%        | 61.5%        | 62.0%        | 63.0%        | 62.5%        | 62.2%        | 63.1%        | 63.4%        | 63.2%        | 63.1%        |
| <b>Operating ROA</b>       | <b>1.50%</b> | <b>1.47%</b> | <b>1.48%</b> | <b>1.34%</b> | <b>1.43%</b> | <b>1.42%</b> | <b>1.48%</b> | <b>1.25%</b> | <b>1.34%</b> | <b>1.37%</b> | <b>1.30%</b> | <b>1.22%</b> |
| Pre-Tax ROA                | 1.54%        | 1.39%        | 1.42%        | 1.39%        | 1.47%        | 1.41%        | 1.48%        | 1.27%        | 1.36%        | 1.39%        | 1.32%        | 1.25%        |
| Tax Rate                   | -17.8%       | -11.9%       | -16.8%       | -20.5%       | -16.6%       | -16.9%       | -15.2%       | -12.8%       | -17.0%       | -17.0%       | -17.0%       | -14.9%       |
| Minorities & Outside Int.  | -0.01%       | -0.03%       | -0.03%       | 0.05%        | -0.02%       | -0.02%       | -0.02%       | 0.04%        | -0.02%       | -0.02%       | -0.02%       | 0.04%        |
| <b>Core ROA</b>            | <b>1.23%</b> | <b>1.17%</b> | <b>1.13%</b> | <b>1.13%</b> | <b>1.19%</b> | <b>1.13%</b> | <b>1.22%</b> | <b>1.12%</b> | <b>1.09%</b> | <b>1.12%</b> | <b>1.06%</b> | <b>1.08%</b> |
| <b>ROA</b>                 | <b>1.18%</b> | <b>1.10%</b> | <b>1.06%</b> | <b>1.06%</b> | <b>1.13%</b> | <b>1.08%</b> | <b>1.20%</b> | <b>1.11%</b> | <b>1.09%</b> | <b>1.12%</b> | <b>1.06%</b> | <b>1.08%</b> |
| <b>RoRWA</b>               | <b>2.29%</b> | <b>2.12%</b> | <b>2.02%</b> | <b>2.02%</b> | <b>2.12%</b> | <b>2.00%</b> | <b>2.36%</b> | <b>2.34%</b> | <b>2.22%</b> | <b>2.24%</b> | <b>2.13%</b> | <b>2.17%</b> |
| Equity/Assets              | 8.33%        | 8.46%        | 8.19%        | 8.19%        | 8.49%        | 8.66%        | 8.54%        | 8.60%        | 8.89%        | 9.09%        | 9.02%        | 8.78%        |
| <b>Core ROE</b>            | <b>14.8%</b> | <b>13.8%</b> | <b>13.8%</b> | <b>13.9%</b> | <b>14.0%</b> | <b>13.1%</b> | <b>14.3%</b> | <b>13.1%</b> | <b>12.3%</b> | <b>12.3%</b> | <b>11.8%</b> | <b>12.4%</b> |
| <b>ROE</b>                 | <b>14.1%</b> | <b>13.0%</b> | <b>12.9%</b> | <b>13.0%</b> | <b>13.3%</b> | <b>12.5%</b> | <b>14.0%</b> | <b>12.9%</b> | <b>12.3%</b> | <b>12.3%</b> | <b>11.8%</b> | <b>12.4%</b> |

Source: Company reports and J.P. Morgan estimates.

## Price Performance



|     | YTD   | 1m    | 3m    | 12m   |
|-----|-------|-------|-------|-------|
| Abs | -2.6% | 1.7%  | -7.9% | 17.1% |
| Rel | -5.1% | -2.6% | -6.7% | -0.1% |

## Company Data

|                             |             |
|-----------------------------|-------------|
| Shares O/S (mn)             | 1,674       |
| 52-week range (\$\$)        | 38.92-28.79 |
| Market cap (\$ mn)          | 45,774      |
| Exchange rate               | 1.29        |
| Free float (%)              | 86.1%       |
| 3M ADV (mn)                 | 3.88        |
| 3M ADV (\$ mn)              | 107.3       |
| Volatility (90 Day)         | 26          |
| Index                       | FTSTI       |
| BBG ANR (Buy   Hold   Sell) | 11 7 0      |

## Key Metrics (FYE Dec)

| \$S in millions            | FY24A   | FY25E   | FY26E   | FY27E   |
|----------------------------|---------|---------|---------|---------|
| <b>Financial Estimates</b> |         |         |         |         |
| Net interest income        | 9,674   | 9,601   | 9,576   | 9,784   |
| Non interest income        | 4,620   | 4,852   | 5,134   | 5,434   |
| Operating expenses         | (6,074) | (6,147) | (6,244) | (6,369) |
| Adj. PPOP                  | 8,220   | 8,306   | 8,466   | 8,848   |
| Provision for loan losses  | (873)   | (1,161) | (1,106) | (1,179) |
| Adj. PBT                   | 7,199   | 7,265   | 7,494   | 7,809   |
| Adj. net income            | 5,946   | 5,954   | 6,145   | 6,407   |
| Adj. EPS                   | 3.56    | 3.58    | 3.74    | 3.95    |
| BBG EPS                    | 3.59    | 3.58    | 3.78    | 4.08    |
| DPS                        | 2.05    | 2.04    | 2.20    | 2.40    |
| Loans                      | 333,930 | 347,499 | 363,610 | 387,553 |
| Deposits                   | 403,978 | 414,110 | 431,469 | 454,330 |
| Total Assets               | 537,664 | 557,336 | 582,639 | 613,383 |
| <b>Margins and Growth</b>  |         |         |         |         |
| NIM                        | 2.0%    | 1.9%    | 1.9%    | 1.8%    |
| <b>Ratios</b>              |         |         |         |         |
| Loan/ Deposit ratio        | 82.7%   | 83.9%   | 84.3%   | 85.3%   |
| NPL / Loans                | 1.5%    | 1.7%    | 1.7%    | 1.8%    |
| Coverage                   | 75.5%   | 74.6%   | 77.1%   | 79.5%   |
| CET 1                      | 15.5%   | 14.9%   | 14.8%   | 14.7%   |
| Non-int. income/ Income    | 32.3%   | 33.6%   | 34.9%   | 35.7%   |
| Cost/Income                | 42.5%   | 42.5%   | 42.4%   | 41.9%   |
| LLP/Loans                  | (0.3%)  | (0.3%)  | (0.3%)  | (0.3%)  |
| ROA                        | 1.1%    | 1.1%    | 1.1%    | 1.1%    |
| ROE                        | 13.1%   | 12.5%   | 12.5%   | 12.5%   |
| <b>Valuation</b>           |         |         |         |         |
| Dividend yield             | 5.8%    | 5.8%    | 6.2%    | 6.8%    |
| Adj. P/E                   | 10.0    | 9.9     | 9.5     | 9.0     |
| P/ BV                      | 1.26    | 1.21    | 1.15    | 1.09    |

## Summary Investment Thesis and Valuation

### Investment Thesis

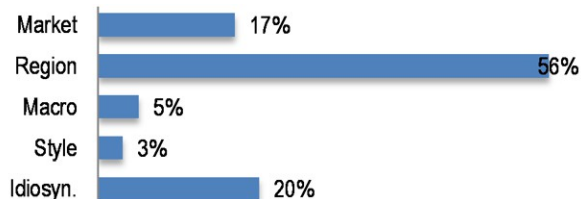
We are N on UOB.

- UOB has delivered RoE with the least volatility among Singapore banks over the past 20 years. We expect that trend to sustain over the medium term. We expect over 13% ROE in the next 2Y, driven by a combination of buyback and a focus on cost management, along with sector-high loan growth (~7%). However, the shift in rate outlook could lead to lower NIM, which would be a drag.
- Management's commitment to 14-14.5% CET1 by 2027 provides visibility on the capital return. This follows the increase in fully phased-in CET1 to 15.2% following Basel IV implementation, which increased the bank's capacity to return capital. We expect S\$750mn annual buyback over the next 3Y.
- The Citi acquisition is an important driver of RoE as the bank gets through a phase of investments in 2023-24. UOB's acquisition of Citi assets in Thailand, Indonesia, Malaysia and Vietnam added 3% to loans, 5% to AUM, and ~5% to EPS in steady state.

### Valuation

Our Jun-26 PT of S\$37 is based on a fair P/B of 1.18x with a normalized RoE of 12.0%, a risk-free rate of 4.5%, a cost of capital of 10.3% and a growth rate of 0.5%.

### Performance Drivers



| Factors                      | 6M Corr | 1Y Corr |
|------------------------------|---------|---------|
| Market: MSCI Asia Pac ex JP  | 0.57    | 0.41    |
| Region: Singapore            | 0.83    | 0.83    |
| <b>Macro:</b>                |         |         |
| HSI Volatility Index         | -0.43   | -0.48   |
| Emerging Economies CPI(YoY)  | 0.28    | 0.27    |
| JPM China A-shares Sentiment | -0.08   | -0.25   |
| <b>Quant Styles:</b>         |         |         |
| Momentum                     | 0.06    | 0.27    |
| Growth                       | 0.11    | 0.26    |
| Size                         | 0.07    | 0.15    |

Source: J.P. Morgan Quantitative and Derivatives Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or exact.

## Investment Thesis, Valuation and Risks

### United Overseas Bank (UOB) *(Neutral; Price Target: S\$37.00)*

#### Investment Thesis

We are N on UOB.

- UOB has delivered RoE with the least volatility among Singapore banks over the past 20 years. We expect that trend to sustain over the medium term. We expect over 13% ROE in the next 2Y, driven by a combination of buyback and a focus on cost management, along with sector-high loan growth (~7%). However, the shift in the rate outlook could lead to lower NIM, which would be a drag.
- Management's commitment to 14-14.5% CET1 by 2027 provides visibility on the capital return. This follows the increase in fully phased-in CET1 to 15.2% following Basel IV implementation, which increased the bank's capacity to return capital. We expect S\$750mn annual buyback over next 3Y.
- The Citi acquisition is an important driver of RoE as the bank gets through a phase of investments in 2023-24. UOB's acquisition of Citi assets in Thailand, Indonesia, Malaysia and Vietnam added 3% to loans, 5% to AUM, and ~5% to EPS in steady state.
- Following increased spend in the last 2Y, we expect cost control to be a focus, supporting efficiency improvements.
- We believe valuations appear fair at 9.9x/1.21x 2025E PE/PB, with a 5.8% yield. We expect the ROE trajectory and capital management to drive the stock.

#### Valuation

Our Jun-26 PT of S\$37 is based on a fair P/B of 1.18x with a normalized RoE of 12.0%, a risk-free rate of 4.5%, a cost of capital of 10.3% and a growth rate of 0.5%.

#### Risks to Rating and Price Target

Downside risks include worse-than-expected asset quality, growth and NIM disappointment, and lower-than-expected dividends and buyback. Sustained higher operating costs would also be a downside risk. Higher-than-anticipated digital investment spending could be a drag on profitability.

Upside risks include sustained delivery on RoE, cost management post investments in 2023-24, and higher dividend. On PPoP, the bank's ability to manage early wins from its digital investments could lead to positive revisions, and investments coming to fruition earlier than anticipated would pose upside risks on costs.



## United Overseas Bank (UOB): Summary of Financials

| Income Statement                |               |               |               |               |               | Balance Sheet                                   |                |                |                |                |                |
|---------------------------------|---------------|---------------|---------------|---------------|---------------|-------------------------------------------------|----------------|----------------|----------------|----------------|----------------|
|                                 | FY23A         | FY24A         | FY25E         | FY26E         | FY27E         |                                                 | FY23A          | FY24A          | FY25E          | FY26E          | FY27E          |
| Interest income                 | 22,242        | 23,259        | 22,426        | 21,834        | 21,726        | Cash and cash equivalents                       | 0              | 0              | 0              | 0              | 0              |
| Interest expense                | (12,563)      | (13,585)      | (12,824)      | (12,257)      | (11,943)      | Deposits with banks                             | 87,443         | 76,009         | 78,873         | 84,723         | 88,127         |
| <b>Net interest income</b>      | <b>9,679</b>  | <b>9,674</b>  | <b>9,601</b>  | <b>9,576</b>  | <b>9,784</b>  | Net loans                                       | 317,005        | 333,930        | 347,499        | 363,610        | 387,553        |
| Non interest income             | 4,253         | 4,620         | 4,852         | 5,134         | 5,434         | PP&E                                            | 4,508          | 4,852          | 5,095          | 5,349          | 5,563          |
| o/w Fee income                  | 2,235         | 2,395         | 2,682         | 2,843         | 3,014         | Net intangibles                                 | 4,984          | 4,979          | 4,979          | 4,979          | 4,979          |
| o/w Trading income              | 1,690         | 2,003         | 1,903         | 1,998         | 2,098         | LT investments                                  | 90,339         | 96,625         | 98,558         | 100,529        | 102,539        |
| <b>Net revenues</b>             | <b>13,932</b> | <b>14,294</b> | <b>14,453</b> | <b>14,711</b> | <b>15,218</b> | Other assets                                    | 19,241         | 21,269         | 22,332         | 23,449         | 24,622         |
| Non interest expense            | (5,777)       | (6,074)       | (6,147)       | (6,244)       | (6,369)       | <b>Total assets</b>                             | <b>523,520</b> | <b>537,664</b> | <b>557,336</b> | <b>582,639</b> | <b>613,383</b> |
| o/w Employee costs              | (3,553)       | (3,699)       | (3,754)       | (3,811)       | (3,887)       | Interest earning assets                         | 498,932        | 510,465        | 529,288        | 553,773        | 583,720        |
| <b>Pre-Prov. Profits</b>        | <b>8,155</b>  | <b>8,220</b>  | <b>8,306</b>  | <b>8,466</b>  | <b>8,848</b>  | Deposits                                        | 385,469        | 403,978        | 414,110        | 431,469        | 454,330        |
| Provisions                      | (784)         | (873)         | (1,161)       | (1,106)       | (1,179)       | Borrowings                                      | 68,651         | 61,102         | 67,985         | 72,575         | 77,003         |
| <b>Adj. PBT</b>                 | <b>6,953</b>  | <b>7,199</b>  | <b>7,265</b>  | <b>7,494</b>  | <b>7,809</b>  | Other liabilities                               | 25,680         | 25,375         | 26,733         | 28,172         | 29,697         |
| Income taxes                    | (1,228)       | (1,140)       | (1,199)       | (1,237)       | (1,289)       | <b>Total liabilities</b>                        | <b>479,800</b> | <b>490,455</b> | <b>508,827</b> | <b>532,216</b> | <b>561,030</b> |
| Minority interest               | (14)          | (14)          | (14)          | (14)          | (15)          | Shareholder equity                              | 43,478         | 46,985         | 48,284         | 50,199         | 52,130         |
| <b>Adj. Net profit</b>          | <b>5,615</b>  | <b>5,946</b>  | <b>5,954</b>  | <b>6,145</b>  | <b>6,407</b>  | Minority interests                              | 242            | 224            | 224            | 224            | 224            |
| PPOP per share                  | 4.87          | 4.92          | 5.00          | 5.16          | 5.46          | <b>Total liabilities and Shareholder equity</b> | <b>523,520</b> | <b>537,664</b> | <b>557,336</b> | <b>582,639</b> | <b>613,383</b> |
| Reported EPS                    | 3.36          | 3.56          | 3.58          | 3.74          | 3.95          | Interest bearing liabilities                    | 454,120        | 465,080        | 482,095        | 504,044        | 531,332        |
| <b>Adj. EPS</b>                 | <b>3.36</b>   | <b>3.56</b>   | <b>3.58</b>   | <b>3.74</b>   | <b>3.95</b>   | Book Value Per Share                            | 26.00          | 28.11          | 29.24          | 30.78          | 32.36          |
| <b>DPS</b>                      | <b>1.70</b>   | <b>2.05</b>   | <b>2.04</b>   | <b>2.20</b>   | <b>2.40</b>   | Tangible Book Value Per Share                   | 25.85          | 27.98          | 29.11          | 30.64          | 32.23          |
| Diluted shares outstanding      | 1,674         | 1,672         | 1,661         | 1,641         | 1,621         |                                                 |                |                |                |                |                |
| Balance Sheet Gearing           |               |               |               |               |               | Asset Quality/Capital                           |                |                |                |                |                |
|                                 | FY23A         | FY24A         | FY25E         | FY26E         | FY27E         |                                                 | FY23A          | FY24A          | FY25E          | FY26E          | FY27E          |
| Loans/Deposits                  | 82.2%         | 82.7%         | 83.9%         | 84.3%         | 85.3%         | Loan loss reserves/Loans                        | (1.3%)         | (1.2%)         | (1.2%)         | (1.3%)         | (1.4%)         |
| Investment/Assets               | 15.9%         | 17.6%         | 17.8%         | 17.5%         | 17.0%         | NPLs/Loans                                      | 1.5%           | 1.5%           | 1.7%           | 1.7%           | 1.8%           |
| Loan/Assets                     | 62.3%         | 62.1%         | 63.0%         | 63.2%         | 63.7%         | Loan loss reserves/NPLs                         | 85.1%          | 80.2%          | 75.1%          | 75.9%          | 78.4%          |
| Customer deposits/Liabilities   | 80.3%         | 82.4%         | 81.4%         | 81.1%         | 81.0%         | NPL y/y growth                                  | (3.8%)         | 6.0%           | 13.1%          | 9.0%           | 8.7%           |
| LT debt/Liabilities             | 14.2%         | 13.4%         | 12.9%         | 13.5%         | 13.7%         | Tier 1 ratio                                    | 14.4%          | 16.6%          | 14.9%          | 14.8%          | 14.7%          |
| Ratio Analysis (%)              |               |               |               |               |               |                                                 | FY23A          | FY24A          | FY25E          | FY26E          | FY27E          |
|                                 | FY23A         | FY24A         | FY25E         | FY26E         | FY27E         |                                                 | FY23A          | FY24A          | FY25E          | FY26E          | FY27E          |
| Net interest margin             | 2.1%          | 2.0%          | 1.9%          | 1.9%          | 1.8%          | CAR                                             | 16.6%          | 18.2%          | 16.5%          | 16.3%          | 16.1%          |
| Non interest income/Net revenue | 30.5%         | 32.3%         | 33.6%         | 34.9%         | 35.7%         | Return on equity (ROE)                          | 13.4%          | 13.1%          | 12.5%          | 12.5%          | 12.5%          |
| Non interest income/Avg. Assets | 0.8%          | 0.9%          | 0.9%          | 0.9%          | 0.9%          | Return on assets (ROA)                          | 1.1%           | 1.1%           | 1.1%           | 1.1%           | 1.1%           |
| Efficiency ratio                | 41.5%         | 42.5%         | 42.5%         | 42.4%         | 41.9%         | Operating ROA                                   | 1.4%           | 1.4%           | 1.3%           | 1.3%           | 1.3%           |
| Leverage ratio                  | 7.8%          | 8.1%          | 7.6%          | 7.6%          | 7.6%          | Pre-Tax ROA                                     | 1.4%           | 1.4%           | 1.3%           | 1.3%           | 1.3%           |
| Revenue/Assets                  | 2.7%          | 2.7%          | 2.6%          | 2.6%          | 2.5%          | Pre-Provision ROA                               | 1.6%           | 1.5%           | 1.5%           | 1.5%           | 1.5%           |
| RORWA                           | 2.1%          | 2.2%          | 2.2%          | 2.1%          | 2.1%          | Tax rate                                        | 17.7%          | 15.8%          | 16.5%          | 16.5%          | 16.5%          |
| RWA                             | 275,930       | 259,835       | 278,668       | 294,233       | 309,759       | Net loans y/y growth                            | 0.5%           | 5.3%           | 4.1%           | 4.6%           | 6.6%           |
| Avg. RWA                        | 267,514       | 267,883       | 269,251       | 286,450       | 301,996       | Assets y/y growth                               | 3.8%           | 2.7%           | 3.7%           | 4.5%           | 5.3%           |
| Avg. IEA                        | 462,994       | 476,735       | 493,883       | 514,454       | 540,309       | RWA y/y growth                                  | 6.5%           | (5.8%)         | 7.2%           | 5.6%           | 5.3%           |
| Gross Loans                     | 321,150       | 337,831       | 351,857       | 368,521       | 393,054       | Deposits y/y growth                             | 4.6%           | 4.8%           | 2.5%           | 4.2%           | 5.3%           |
| Avg. IBL                        | 434,135       | 434,135       | 447,347       | 465,750       | 489,005       | Net interest income y/y growth                  | 16.0%          | (0.1%)         | (0.8%)         | (0.3%)         | 2.2%           |
| LLR                             | (4,145)       | (3,901)       | (4,358)       | (4,911)       | (5,501)       | Revenues y/y growth                             | 20.4%          | 2.6%           | 1.1%           | 1.8%           | 3.4%           |
| NPLs                            | 4,870         | 5,164         | 5,840         | 6,367         | 6,920         | Adj. EPS y/y growth                             | 25.2%          | 6.0%           | 0.8%           | 4.5%           | 5.6%           |
| P/BV (x)                        | 1.36          | 1.26          | 1.21          | 1.15          | 1.09          | BVPS y/y growth                                 | 7.3%           | 8.1%           | 4.0%           | 5.3%           | 5.2%           |
| Adj. P/E (x)                    | 10.6          | 10.0          | 9.9           | 9.5           | 9.0           | IE assets/Assets                                | 90.1%          | 89.8%          | 90.2%          | 90.3%          | 90.4%          |
| Dividend yield                  | 4.8%          | 5.8%          | 5.8%          | 6.2%          | 6.8%          | Margins (as % of Avg. Assets)                   | 1.8%           | 1.7%           | 1.7%           | 1.6%           | 1.6%           |
| Dividend payout                 | 50.7%         | 57.6%         | 57.0%         | 58.8%         | 60.7%         | LLP/Loans                                       | (0.2%)         | (0.3%)         | (0.3%)         | (0.3%)         | (0.3%)         |
|                                 |               |               |               |               |               | Equity/Assets                                   | 8.2%           | 8.5%           | 8.7%           | 8.6%           | 8.6%           |
|                                 |               |               |               |               |               | Cost/Assets                                     | 1.1%           | 1.1%           | 1.1%           | 1.1%           | 1.1%           |
|                                 |               |               |               |               |               | Assets/Equity                                   | 12.2           | 11.7           | 11.5           | 11.6           | 11.7           |

Source: Company reports and J.P. Morgan estimates.

Note: \$ in millions (except per-share data). Fiscal year ends Dec

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### DBS Group Holdings (DBSM.SI, DBS SP) Price Chart



| Date      | Rating | Price (\$) | Price Target (\$) |
|-----------|--------|------------|-------------------|
| 31-May-22 | OW     | 28.34      | 36.5              |
| 17-Aug-22 | OW     | 29.37      | 33                |
| 23-Nov-22 | N      | 32.34      | 34                |
| 09-Mar-23 | N      | 30.64      | 31                |
| 30-Mar-23 | UW     | 30.54      | 27                |
| 05-Oct-23 | UW     | 30.20      | 28                |
| 09-Dec-23 | UW     | 28.73      | 27.5              |
| 13-Mar-24 | N      | 30.46      | 30                |
| 03-Jul-24 | OW     | 37.10      | 41                |
| 06-Oct-24 | OW     | 38.04      | 42                |
| 10-Nov-24 | OW     | 42.40      | 50                |
| 11-Feb-25 | OW     | 45.38      | 51                |
| 23-Mar-25 | OW     | 45.31      | 49                |

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.  
Initiated coverage Dec 11, 2001. All share prices are as of market close on the previous business day.

### OCBC Bank (OCBC.SI, OCBC SP) Price Chart



| Date      | Rating | Price (\$) | Price Target (\$) |
|-----------|--------|------------|-------------------|
| 31-May-22 | OW     | 11.72      | 13                |
| 01-Nov-22 | N      | 12.13      | 13                |
| 06-Jan-23 | OW     | 12.44      | 14                |
| 09-Mar-23 | OW     | 12.55      | 13.5              |
| 30-Mar-23 | UW     | 12.53      | 11.5              |
| 13-Mar-24 | UW     | 13.09      | 12.5              |
| 10-May-24 | NR     | 13.91      | --                |

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.  
Initiated coverage Feb 24, 2000. All share prices are as of market close on the previous business day.

### United Overseas Bank (UOB) (UOBH.SI, UOB SP) Price Chart



| Date      | Rating | Price (\$) | Price Target (\$) |
|-----------|--------|------------|-------------------|
| 31-May-22 | OW     | 29.34      | 35                |
| 02-Aug-22 | OW     | 27.89      | 34                |
| 30-Mar-23 | N      | 29.95      | 28.5              |
| 05-Oct-23 | N      | 28.07      | 28                |
| 09-Dec-23 | N      | 27.58      | 27                |
| 13-Mar-24 | N      | 28.28      | 30                |
| 03-Jul-24 | N      | 31.65      | 32.5              |
| 06-Oct-24 | N      | 31.86      | 34                |
| 10-Nov-24 | OW     | 35.69      | 41                |
| 14-Jan-25 | OW     | 36.80      | 43                |
| 23-Mar-25 | N      | 37.95      | 40                |

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.  
Initiated coverage Sep 24, 2002. All share prices are as of market close on the previous business day.

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